

ASIA ASSET FINANCE PLC

FINANCIAL STATEMENTS

**FOR THE YEAR ENDED
31 MARCH 2025**



KPMG
(Chartered Accountants)
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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Asia Asset Finance PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC ("the Company"), which comprise the statement of financial position as at March 31, 2025, and the income statement and statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at March 31, 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Allowance for Expected Credit Losses of Financial Assets measured at Amortised Cost

Allowance for expected credit losses of financial assets measured at amortised cost as stated in Note 19 is determined by management in accordance with the accounting policies described in Note 3.1.11.

Risk Description	Our Response:
The Company uses the Expected Credit Loss (ECL) model to calculate the allowance for expected credit losses in accordance with SLFRS 9- Financial Instruments (SLFRS 9).	Our audit procedures included: Understanding and assessing the design and implementation and operating effectiveness of management key internal controls over the approval, recording and monitoring financial

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High degree of complexity and judgment are involved in estimating ECL. There are also a number of key assumptions made by the Company in applying the requirements of SLFRS 9 to the models including the identification of loss stage, forward looking probability of default (PD), loss given default (LGD), macroeconomic scenarios including their weighting and judgments over the use of data inputs required.

Additional subjectivity and judgement are required due to the heightened uncertainty associated with the impact of the economic outlook and its impact on customers, increasing our audit effort thereon.

We have identified the allowance for expected credit losses as a key audit matter due to the significance of the loans and advances to these financial statements, the inherent complexity of the Company's ECL models used to measure ECL allowances.

assets and the measurement of provision for impairment.

- Assessing the methodology inherent within the impairment models against the requirements of SLFRS 9, specially taking into consideration the prevailing uncertain and volatile macro-economic environment;
- Challenging the key assumptions in the ECL models, including staging, PD, and LGD and evaluating the reasonableness of Management's key judgments and estimates;
- Testing the accuracy and completeness of the data inputs to the systems and ECL models and challenging the economic information used within, and weightings applied to, forward looking scenarios;
- Recalculating the ECL on sample basis, by using the key assumptions used in the models, such as PD and LGD;
- Assessing the reasonableness of the Company's considerations of the prevailing uncertain and volatile macro-economic environment;
- Working with our internal FRM specialists in order to assess the management computation of ECL model including staging, PD, LGD, and appropriateness of incorporating the forward-looking factors, and assumptions to the ECL model;
- Assessing the adequacy of disclosures made in the financial statements in compliance with relevant accounting standards requirements.

Other Matter

The financial statements of Asia Asset Finance PLC for the year ended March 31, 2024, were audited by another auditor who expressed an unmodified opinion on those statements on May 06, 2024.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.



Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

KPMG
Colombo, Sri Lanka

16/06/2025

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Interest income	4	5,972,861,421	5,634,907,959
Less: Interest expenses	5	(3,355,391,936)	(4,250,407,673)
Net Interest income	6	2,617,469,485	1,384,500,286
Fees and commission income	7	803,547,185	879,577,589
Other operating income	8	124,417,625	59,639,969
Less: Operating expenses			
Personnel expenses	9	(647,509,378)	(450,124,348)
Depreciation and amortisation cost	10	(186,661,475)	(145,311,174)
General and administrative expenses		(1,055,288,036)	(745,051,290)
Impairment charge for loans and advances	11	(720,473,852)	(505,038,637)
Operating profit before taxes on financial services	12	935,501,554	478,192,395
Taxes on financial services	13	(299,692,014)	(104,704,556)
Profit before taxation		635,809,540	373,487,839
Income tax expenses	14	(194,665,870)	(29,301,136)
Profit for the year		441,143,670	344,186,703
Earnings per share - basic	38.1	3.55	2.77
Earnings per share - diluted	38.2	2.48	1.94

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 85 form an integral part of these financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME*For the year ended 31st March,*

	Note	2025 Rs.	2024 Rs.
Profit for the year		441,143,670	344,186,703
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Revaluation gain on property, plant and equipment	23	12,954,787	43,511,089
Remeasurment of unquoted shares	22.1	(206,659)	-
Deferred tax charge on revaluation gain	14	(3,886,436)	(13,053,327)
Actuarial (loss) / gain on retirement benefit obligations	35.2	(2,348,987)	12,730,464
Deferred tax reversal / (charge) on actuarial gain / (losses)	14	704,696	(3,819,139)
Other comprehensive income for the year, net of tax		<u>7,217,401</u>	<u>39,369,087</u>
Total comprehensive income for the year		<u>448,361,071</u>	<u>383,555,790</u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 85 form an integral part of these financial statements.

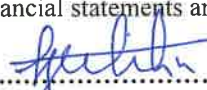
As at 31st March,

	Note	2025 Rs.	2024 Rs.
ASSETS			
Cash and cash equivalents	17	3,150,043,244	1,383,706,511
Other financial assets at amortized cost	18	2,846,501,028	4,259,458,514
Financial assets at amortised cost - loans and advances	19	29,157,077,081	19,057,508,451
Other non financial assets	20	178,393,443	130,133,093
Advances, deposits and prepayments	21	199,349,206	102,813,725
Financial assets - fair value through other comprehensive income	22	300,000	506,659
Property, plant and equipment	23	710,455,188	313,284,112
Right-of-use assets	24	390,830,477	186,439,061
Investment property	25	425,274,403	324,299,107
Deferred tax assets	14.2	-	38,550,183
Intangible assets	26	48,132,285	46,617,448
Total assets		37,106,356,355	25,843,316,864
LIABILITIES			
Due to banks	27	50,418,316	47,637,705
Other liabilities	28	789,783,292	558,484,227
Dividend payable	29	29,455,778	475,406
Income tax payable	30	17,102,880	17,953,458
Deferred tax liabilities	14.2	5,508,866	-
Financial liabilities - other borrowed funds	31	9,291,880,609	6,050,495,203
Lease liabilities	32	411,187,318	219,443,235
Due to customers	33	20,004,208,401	14,485,136,166
Debenture	34	2,677,894,881	1,058,730,444
Retirement benefit obligations	35	50,096,525	39,543,426
Total liabilities		33,327,536,866	22,477,899,270
EQUITY			
Stated capital	36	2,205,463,801	2,205,463,801
Retained earnings		1,186,312,121	794,058,041
Statutory reserve fund and other reserves	37	387,043,567	365,895,752
Total equity		3,778,819,489	3,365,417,594
Total equity and liabilities		37,106,356,355	25,843,316,864
Contingent liabilities and commitments	39	431,500,000	377,906,783
Net assets value per share	38.3	30.43	27.10

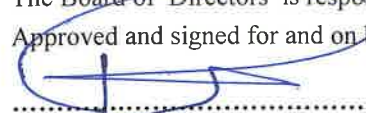
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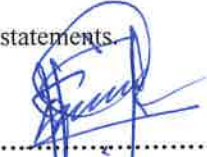
The accounting policies and notes on pages 06 to 85 form an integral part of these financial statements.

These financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Geethika Elwalage
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board.


R.J.A. Gunawardena
Director/Chief Executive Officer


T.C.D. Kumarasiri
Director/Chairman of the Audit Committee

9th June 2025
Colombo

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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Note	Ordinary share capital	Preference share capital	General reserve	Statutory reserve fund	Revaluation reserve fund	Regulatory loss allowance reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April 2023	1,791,478,691	413,985,110	3,000,000	139,131,735	-	74,710,655	588,534,571	3,010,840,762
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	344,186,703	344,186,703
Revaluation gain on property, plant and equipment	-	-	-	-	43,511,089	-	-	43,511,089
Actuarial gain on retirement benefit obligation	-	-	-	-	-	-	12,730,464	12,730,464
Deferred tax charge on revaluation and actuarial gain	-	-	-	-	(13,053,327)	-	(3,819,139)	(16,872,466)
Total comprehensive income for the year	1,791,478,691	413,985,110	3,000,000	139,131,735	30,457,762	74,710,655	941,632,599	3,394,396,552
Transactions with equity holders recognized directly in equity								
Dividend paid - Preference shares	-	-	-	-	-	-	(28,978,958)	(28,978,958)
Transfers to reserves	-	-	-	68,837,340	-	49,758,260	(118,595,600)	-
Total transactions with equity holders	-	-	-	68,837,340	-	49,758,260	(147,574,558)	(28,978,958)
Balance as at 31st March 2024	1,791,478,691	413,985,110	3,000,000	207,969,075	30,457,762	124,468,915	794,058,041	3,365,417,594
Balance as at 01st April 2024	1,791,478,691	413,985,110	3,000,000	207,969,075	30,457,762	124,468,915	794,058,041	3,365,417,594
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	441,143,670	441,143,670
Actuarial loss on retirement benefit obligations	-	-	-	-	-	-	(2,348,987)	(2,348,987)
Revaluation gain on property, plant and equipment	-	-	-	-	12,954,787	-	-	12,954,787
Deferred tax reversal/(charge) on revaluation (gain) and actuarial loss	-	-	-	-	(3,886,436)	-	704,696	(3,181,740)
Remeasurement of unquoted shares	-	-	-	-	-	-	(206,659)	(206,659)
Total comprehensive income for the year	1,791,478,691	413,985,110	3,000,000	207,969,075	39,526,113	124,468,915	1,233,350,761	3,813,778,665
Transactions with equity holders recognized directly in equity								
Dividend paid during the year	-	-	-	-	-	-	(28,978,958)	(28,978,958)
Excess depreciation charge on revaluation	-	-	-	-	(5,980,218)	-	-	(5,980,218)
Reversals of revaluation gains on disposed assets	-	-	-	-	(1,783,391)	-	1,783,391	-
Transfers to reserves	-	-	-	88,228,734	-	(68,385,661)	(19,843,073)	-
Total transactions with equity holders	-	-	-	88,228,734	(7,763,609)	(68,385,661)	(47,038,640)	(34,959,176)
Balance as at 31st March 2025	1,791,478,691	413,985,110	3,000,000	296,197,809	31,762,504	56,083,254	1,186,312,121	3,778,819,489

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 85 form an integral part of these financial statements.

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Cash flows from operating activities			
Profit before taxation		635,809,540	373,487,839
Adjustments for ;			
Depreciation and amortisation of property, plant and equipment, investment property and intangible assets	10	97,779,098	78,086,569
Amortisation of right of use assets	10	88,882,377	67,224,605
Interest expenses on lease liabilities	32	58,079,380	42,338,086
Impairment of lease, hire purchase, loans and advances	11	720,473,852	505,038,637
Loss on disposal of property, plant and equipment	8	1,402,225	1,077,345
Gain on expiration of operating lease during the year		(3,094,700)	-
Gain on adjustments on operating lease during the year		(38,616,297)	-
Interest expense on other borrowings	31	901,822,806	1,183,003,442
Interest expense on debentures	34	177,111,430	361,151,772
Provision for retirement benefit obligations	35	10,814,992	14,035,862
Operating profit before working capital changes		<u>2,650,464,703</u>	<u>2,625,444,157</u>
Changes in ;			
Financial assets at amortised cost - loans and advances		(10,922,578,522)	(84,246,314)
Other non financial assets		(48,260,350)	(2,573,439)
Advances, deposits and prepayments		(119,023,247)	(27,286,173)
Due to customers		5,519,072,235	1,210,167,594
Other liabilities		231,299,065	329,849,473
Cash generated from / (used in) operations		<u>(2,689,026,116)</u>	<u>4,051,355,298</u>
Taxes paid	30	(148,421,372)	(247,115)
Gratuity paid	35	(2,610,880)	(7,484,505)
Dividend paid	29	-	(28,799,307)
Returned dividend	29	1,414	4
Interest paid		<u>(1,025,019,799)</u>	<u>(1,508,675,138)</u>
Net cash generated from / (used in) operations		<u>(3,865,076,753)</u>	<u>2,506,149,237</u>
Cash flows from investing activities			
Acquisition of property, plant and equipment	23	(478,055,127)	(142,266,165)
Acquisition of intangible assets	26	(11,716,796)	(8,472,875)
Acquisition of investment property	25	-	(1,452,837)
Net investments in other financial assets at amortized cost	18	1,412,957,486	(1,814,628,473)
Proceeds from sale of property, plant and equipment		440,000	8,557,452
Net cash generated from /(used in) investing activities		<u>923,625,563</u>	<u>(1,958,262,898)</u>
Cash flows from financing activities			
Repayment of other borrowed funds		(5,283,614,594)	(4,019,200,696)
Proceeds from other borrowed funds	31	8,525,000,000	3,843,000,000
Proceeds from debenture issue	34	2,000,000,000	-
Repayment of debenture	34	(434,750,000)	(1,000,000,000)
Repayment of operating lease rental	32	(101,628,094)	(94,982,460)
Net cash generated from / (used in) financing activities		<u>4,705,007,312</u>	<u>(1,271,183,156)</u>
Net increase / (decrease) in cash and cash equivalents		<u>1,763,556,122</u>	<u>(723,296,817)</u>
Cash and cash equivalents at the beginning of the year		<u>1,336,068,806</u>	<u>2,059,365,623</u>
Cash and cash equivalents at the end of the year		<u><u>3,099,624,928</u></u>	<u><u>1,336,068,806</u></u>
At the end of the year			
Cash and cash equivalents	17	3,150,043,244	1,383,706,511
Bank overdraft	27	(50,418,316)	(47,637,705)
		<u><u>3,099,624,928</u></u>	<u><u>1,336,068,806</u></u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 85 form an integral part of these financial statements.

1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company has been registered with the Central Bank of Sri Lanka as a Finance company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the Company and the principal place of business are located at No 76, Park Street, Colombo 03.

1.2 Principal activities and nature of operations

The principal activities of the Company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The company's immediate and ultimate parent entity as at 31st March 2025 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the Company as at 31st March 2025 was 1054 (564 as at 31st March 2024).

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (commonly referred to as "SLFRS"/"LKAS") issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) further compliance with the requirements of the Companies Act No. 7 of 2007.

The financial statements of the Company

- A summary of other material accounting policies affecting the results and financial position of the Company, including changes in accounting policies and disclosures during the year.
- Standards that have been issued which the Company has not adopted.

2.1 Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through other comprehensive income (Note 22)	Fair value
Freehold land and buildings (Note 23)	Measured at cost at the time of acquisition
Retirement benefit obligation (Note 35)	Liability is recognized as the present value

2.2 Going concern

The Company has prepared the financial statements for the year ended 31 March 2025 on the basis that it will continue to operate as a going concern. In determining the basis of preparing the financial statements for the year ended 31 March 2025, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Company and the appropriateness of the use of the going concern basis. It is the view of the management that there are no material uncertainties that may cast significant doubt on the Company's ability to continue to operate as a going concern.

2.3 Statement of compliance

The financial statements of the Company as at 31st March, 2025 and for the year then ended, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka.

These financial statements include the following components:

- An Income Statement and the Statement of profit and loss and other comprehensive during the year under review of the Company
- A statement of financial position providing the information on the financial position of the Company as at the year end
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the Company
- A statement of cash flows providing the information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of the entity to utilize those cash flows and
- Notes to the financial statements comprising accounting policies and other explanatory information.

2.4 Statement of presentation

The financial statements have been presented in compliance with the requirement of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

2.5 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.6 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March 2025 (including comparatives) were approved and authorized for issue on 9th June 2025 in accordance with a resolution of the Board of Directors on 9th June 2025.

2.7 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflect their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in note 44 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the income statement unless it is required or permitted by any accounting standard or interpretation.

2.8 Comparative Information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.9 Functional and presentation currency

The financial statements have been presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.10 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.11 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements'.

2.12 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is the Sri Lankan Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortized cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortized cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

2.13 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements of the Company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses.

Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.13.1 Classification of financial assets and liabilities

As per SLFRS 9, the Material Accounting Policies of the Company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortized Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- The entity's business model for managing the financial assets is set out in note 3.1.3.1.
- The contractual cash flow characteristics of the financial assets is set out in note 3.1.3.2.

2.13.2 Impairment Losses on Financial assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions of a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer note 3.1.11 for more details relating to impairment loss assessment on financial assets.

2.13.3 Taxation

The Company is subject to income taxes and other taxes including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to interpretation of the applicability of tax laws, at the time of preparation of these financial statements.

The Company recognizes assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.13.4 Deferred tax assets /Liability

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

Deferred tax liabilities are generally recognized for all taxable temporary differences.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax assets against current tax liabilities and they relate to income taxes levied by the same taxation authority.

2.13.5 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the Company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 35 to the financial statements.

2.13.6 Useful lives of property, plant and equipment, investment property and intangible assets

The Company depreciates/amortizes the property plant and equipment, investment property and intangible assets using the straight-line method over their estimated useful lives after taking into account their estimated residual values. The estimated useful life reflects the management's estimate of the period that the Company intends to derive future economic benefits from the use of the property, plant and equipment, investment property and intangible assets.

The residual value reflects the management's estimated amount that the Company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life.

Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

2.13.7 Leases

2.13.7.1 Determination of the lease term for lease contracts with renewal and termination options (company as a lessee)

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company has several lease contracts that include extension and termination options.

The Company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option.

After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization of the leased asset).

2.13.7.2 Estimating the incremental borrowing rate

As the Company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Company estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

2.14 Accounting policy

Material Accounting Policies - General	Note	Page Reference
Cash and cash equivalents	17	40
Other financial assets at amortized cost	18	40

Financial assets at amortised cost - loans and advances	19	40
Other non-financial assets	20	44
Financial assets - Fair value through other comprehensive income	22	44
Property, plant and equipment	23	45
Right-of-use assets	24	48
Investment property	25	48
Deferred tax assets/liabilities	14.2	36
Intangible assets	26	52
Due to banks	27	52
Other liabilities	28	52
Dividend payable	29	52
Financial liabilities - other borrowed funds	31	53
Lease liabilities	32	56
Due to customers	33	57
Debenture	34	57
Retirement benefit obligations	35	59
Material accounting policies – Recognition of income and expenses	Note	Page Reference
Interest income	4	32
Interest expense	5	32
Net interest income	6	32
Fees and commission income	7	33
Other operating income	8	33
Personnel expenses	9	33

Depreciation and amortization cost	10	34
Impairment charge for loans and advances	11	34
Income tax expenses	14	35

2.15 Changes in Accounting Policies

The Company has consistently applied the Accounting Policies to all periods presented in these financial statements, except for the changes arising out of amendments to Accounting Standards as set out below.

2.15.1 Changes to already existing accounting standards

The Company applied for the first time certain standards and amendments, if applicable, which are effective for annual periods beginning on or after 1 April 2024 (unless otherwise stated). The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

The amendments to the following Accounting Standards, did not have a material impact on the Financial Statements of the Company.

- Non-current Liabilities with Covenants – Amendments to LKAS 1
- Classification of Liabilities as Current or Non-current – Amendments to LKAS 1
- Lease Liability in a Sale and Leaseback – Amendments to SFRS 16
- Supplier Finance Arrangements – Amendments to LKAS 7 and SLFRS 7

2.15.2 New accounting standards, amendments and interpretations issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Company's financial statements are disclosed below.

The Company intends to adopt this amended standard and interpretation, if applicable, when it becomes effective.

Accounting Standard	Description	Effective Date
Sri Lanka Accounting Standard - SLFRS 17 "Insurance Contracts"	SLFRS 17 Liability Recognition: Presents future cash flows as present value with risk adjustment and Contractual Service Margin (CSM), groups contracts by risk and profitability, and recognizes losses directly in the income statement. New	1 st January 2026

	Insurance Revenue Measure: Shifts revenue measurement to service delivery, excluding investment-related premiums, and necessitates calculating deferred profit (CSM) at transition.	
Exemption - Sri Lanka Accounting Standard - SLFRS 9 "Financial Instruments"	Temporary Exemption: SLFRS 9, which addresses financial instruments accounting, became effective from 1st January 2018	1 st January 2026

The company will conduct a gap analysis on the applicability of Sustainability Accounting standards IFRS S1 – General requirements for Disclosure of Sustainability-related financial information and IFRS S2 – Climate related Disclosures and will make appropriate disclosures commencing from the year ending 31st March 2026.

3. MATERIAL ACCOUNTING POLICIES

3.1 Financial instruments – initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The Company initially recognizes loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognized on the trade date, which is the date on which the Company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Notes 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

The transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss is dealt with through the income statement. Trade receivables that do not have significant financing components are measured at their transaction price at initial recognition as defined in SLFRS 15. When the fair value of financial instruments (except trade receivables that do not have significant financing components) at initial recognition differs from the transaction price, the Company accounts for the Day 1 profit or loss, as described below.

3.1.2.1 “Day 1” profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognizes the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognized in profit or loss when the inputs become observable, or when the instrument is de-recognized.

3.1.3 Classification and subsequent measurement of financial assets

As per SLFRS 9, the Company classifies all of its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at either;

- Amortized cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.

3.1.3.1 Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by- instrument basis because this best reflects the way the business is managed, and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management’s strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company’s management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not

considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realized.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely the payments of principal and interest (SPPI test)

As a second step of its classification process the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely the payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely the payments of principal and interest on the principal amount outstanding, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets; and
- features that modify consideration of the time value of money.

Refer Notes 3.1.3.3 to 3.1.3.4. below for details on different types of financial assets recognized in the Statement of Financial Position.

3.1.3.3 Financial assets measured at amortized cost

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely the payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortized cost are given in notes 3.1.3.3.1 to 3.1.3.3.3 below.

3.1.3.3.1 Financial assets at amortised cost - Loans and Advances

Loans and advances to customers include loans and advances, and lease , gold loans, and mortgage loans of the Company.

Details of “Loans and advances ” are given in note 19.

3.1.3.3.2 Other financial assets at amortized cost

Details of “Other financial assets at amortized cost” are given in note 18.

3.1.3.3.2.1 Investment in reverse repurchase agreements against the treasury bills and bonds

When the Company purchases a financial asset and simultaneously enters into an agreement to resale the asset (or a similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a financial asset in the SOFP reflecting the transaction’s economic substance as a loan granted by the Company. Subsequent to initial recognition, these securities issued are measured at amortized cost using the EIR with the corresponding interest income/receivable being recognized as interest income in income statement.

Details of Reverse repurchase agreements against treasury bills and bonds” are given in note 18.

3.1.3.3.3 Cash and cash equivalents

Details of “Cash and cash equivalents” are given in note 17.

3.1.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Equity instruments designated at FVOCI

Upon initial recognition, the Company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI. Details of “Equity instruments at FVOCI” are given in note 22.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the Company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category are,
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortized cost.

The subsequent measurement of financial liabilities depends on their classification.

3.1.4.1 Financial liabilities at amortized cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortized cost under “Due to banks”, “Due to customers”, “Other borrowings” or “Subordinated debts” as appropriate, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortized cost using the EIR method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortization is included in “Interest expense” in the income statement. Gains and losses are also recognized in the income statement when the liabilities are derecognized as well as through the EIR amortization process.

3.1.4.1.1 Due to banks

Details of “Due to banks” are given in note 27.

3.1.4.1.2 Due to customers

Details of “Due to customers” are given in note 33.

3.1.4.1.3 Other borrowed funds

Details of “Other borrowed funds” are given in note 31.

3.1.4.1.4 Debentures

Details of “Debentures” are given in note 34.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such re-classifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the Company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.

3.1.5.2 Measurement of reclassification of financial assets

3.1.5.2.1 Reclassification of Financial Instruments at ‘Fair value through other comprehensive income’

- **To Fair value through profit or loss**

The accumulated balance in OCI is reclassified to profit or loss and comprehensive income on the reclassification date.

- **To Amortized Cost**

The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortized cost.

EIR determined at initial recognition and gross carrying amount are not adjusted as a result of reclassification.

3.1.5.2.2 Reclassification of Financial Instruments at “Amortized Cost”

- **To Fair value through other comprehensive income**

The asset is remeasured to fair value, with any difference recognized in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.

- **To Fair value through profit or loss**

The fair value on the reclassification date becomes the new carrying amount. The difference between amortized cost and fair value is recognized in the income statement.

3.1.6 De-recognition of financial assets and financial liabilities

3.1.6.1 Financial assets

The Company de-recognizes a financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) when:

- The contractual rights to receive the cash flows from the asset have expired; or
- The Company has transferred its rights to receive the contractual cash flows from the asset, and either:
 - it has transferred substantially all the risks and rewards of ownership of the asset; or
 - it has neither transferred nor retained substantially all the risks and rewards of ownership of the asset, but has transferred control of the asset.

If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the asset is not de-recognized. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognizes its retained interest in the asset and an associated liability for amounts it may have to pay.

3.1.6.2 Financial liabilities

The Company derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

3.1.7 Modification of financial assets and financial liabilities

3.1.7.1 Financial assets

If the terms of a financial asset are modified, the Company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized, and a new financial asset is recognised at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortized cost are not substantially different, then the modification does not result in derecognition of the financial asset.

In this case, the Company recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognizes the resulting adjustment as a modification gain or loss in profit or loss. For floating rate financial assets, the original effective interest rate is used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in income statement.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.1.9 Amortized cost and gross carrying amount

The "amortized cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortized cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained below,

The fair value of mixed rate financial assets and liabilities carried at amortized cost are estimated based on the Discounted Cash Flow approach. This approach employs the current market interest rates of similar financial instruments as a significant unobservable input in measuring the fair value and hence, it is categorized under level 3 in the fair value hierarchy.

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the Company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a “three-stage” model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within the next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the Company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the Company determines when a significant increase in credit risk has occurred.
- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the Company recognizes an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.4 for a description on how the Company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorized within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The Company does not have POCI loans as at the reporting date.

The key judgments and assumptions adopted by the Company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the Company’s historical experience and expert credit assessment including forward looking information.

The Company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 30 days past due in SLFRS 9.

The Company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments
- When the value of collateral is significantly reduced and/or realizability of collateral is doubtful
- When a customer is subject to litigation that significantly affects the performance of the credit facility
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- When the customer is deceased/insolvent
- When the Company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The Company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

3.1.11.3 Definition of default and credit impaired assets

The company considers loans and advances to customers to be defaulted when:

- The borrower is unlikely to pay its obligations to the Company in full, without recourse by the Company to actions such as realizing security (if any is held); or
- The borrower becomes 90 days past due on its contractual payments.

In addition, the Company classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is in “default”.

In assessing whether a borrower is in default, the Company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The Company considers non-performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.

3.1.11.4 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the

assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

3.1.11.5 Grouping financial assets measured on collective basis

The Company calculates ECLs either on a collective or an individual basis. Asset classes where the Company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

An individual assessment is performed for credit-impaired exposures that are individually significant, such as non-performing or high-value facilities. These are assessed separately to determine the appropriate level of expected credit loss.

For the purpose of calculating ECLs on a collective basis, financial assets are grouped into portfolios based on shared credit risk characteristics. These characteristics may include Product type, Customer segment Industry, collateral type, credit risk rating score.

For the purpose of ECL calculation on collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.6 The Calculation of Expected Credit Loss Principle (ECL)

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- **PD:** The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio. The Gold Loan PD calculation is computed default over a given time horizon.
- **EAD:** Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities and accrued financing income from missed payments.
- **LGD:** Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral. The weighted average LGDs are used and the weighted average LGD is determined by dividing the total loss for the year

by the total exposure of settled defaults of each year. The calculation basically consist , written off , virtually closed and settled contracts where arrears age exceed 90 days.

- **LGD Gold Loan:** Company uses non-performing gold loans which are over 90 days past due for LGD calculation of gold loans. Since the physical gold is in the custody of the Company, a forecasted gold value of respective facility is calculated assuming 25% drop of current gold market price. The ratio between total receivable and the difference in forecasted gold value and total receivable is considered as LGD ratio for respective facilities. A simple average of the LGD of all non-performing gold loan is considered as the LGD ratio of gold loan product.
- **Management Overlays:** Management overlays may be applied to the model outputs if consistent with the objective of identifying a significant increase in credit risk. Management overlay to the ECL allowance are used in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to Company's lending portfolios. The use of management overlay may impact the amount of ECL recognised. This decision was based on a detailed portfolio risk review and aimed to adjust for sector specific concerns including rising delinquency trends and reduced recovery potential.

3.1.11.7 Forward-looking information

The Company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.

The Company has identified key drivers of credit risk both quantitative and qualitative for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organizations such as IMF.

Quantitative drivers of credit risk

- GDP growth
- Unemployment rate
- Interest rate (AWPLR)
- Rate of inflation
- Exchange rate

Qualitative drivers of credit risk

- Regulatory impact
- Government policies
- Status of industry business

3.1.12 Write-off of loans and advances

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or portion thereof. This is generally the case when the Company determines that the borrower does not have assets or source of income that could generate sufficient cash flow to repay the amounts subject to the write-off. This assessment is carried out at

individual asset level. Recoveries of amounts previously written off are recognized when cash is received and are included in 'other operating income' in the income statement.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

3.2. Property, plant and equipment

Details of "Property, plant and equipment" are given in Note 23.

3.2.1. Depreciation

Details of "Depreciation" are given in Note 10.

3.3. Intangible assets

Details of "Intangible assets" are given in Note 26.

Amortization recognised during the year in respect of intangible assets is included under the item of "Amortization of intangible assets" under "Depreciation and amortization cost".

3.4 Investment property

Details of "Investment Property" are given in Note 25.

3.5 Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash – generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

Impairment losses are recognised in the income statement, except that, impairment losses in respect of property, plant and equipment previously revalued are recognised against the revaluation reserve through the other comprehensive income and to the extent that it reverses a previous revaluation surplus.

3.6 Deferred tax assets / Liabilities

Details of "Deferred tax assets" are given in Note 14.2.

3.7 Fiduciary assets

The Company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the Company.

3.8 Other Non-Financial Assets

Details of “Other non-financial assets” are given in note 20.

3.9 Provisions

Provisions are recognized in the statement of financial position when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard – LKAS 37 on ‘Provision, Contingent Liabilities and Contingent Assets’. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the income statement net of any reimbursement.

3.10 Leases

The Company uses its judgment to determine whether an operating lease contract qualifies for recognition of right of- use assets. It also uses judgement in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease. As the Company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability.

The incremental borrowing rate is the rate of interest that the Company would have to pay, to borrow an amount similar to the value of the lease asset, over a similar term and with similar security in similar economic environment. Further, the Company applies judgement in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either the renewal or termination option.

3.10.1 Right-Of-Use Assets – Company as a Lessee

Details of “Rights of use assets” are given in note 24.

3.10.2 Lease Liability

Details of “Lease liability” are given in note 32.

3.10.3 Finance leases - Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognizes assets held under finance lease in the statement of financial position and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value

of lease payments to equal the fair value of the underlying asset and initial direct costs. The Company's net investment in lease is included in note 19 on financial assets at amortized cost - Loans and Advances", as appropriate. The finance income receivable is recognised in "interest income" over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

3.11 Other liabilities

Other liabilities includes VAT on Financial Services payable, customer related payable and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

3.12 Retirement benefit obligation

Details of "Retirement benefit obligation" are given on note 35.

3.13 Dividends payable

Dividends on ordinary shares are recognized as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and are payable at the discretion of the Company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard - LKAS 10 on 'Events after the Reporting period'.

3.14 Income

Income is recognized to the extent that it is probable that the economic benefits will flow to the Company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows:

3.14.1 Net interest income

3.14.1.1 Interest income and interest expense

Interest income and expense are recognised in the income statement using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the income statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.14.2 Net Fee and Commission Income

Fee and commission income is earned from a diverse range of services provided by the Company to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

3.14.3 Other operating income

Other operating income includes gains on disposal of property, plant and equipment, rent income, dividend income .

3.14.3.1 Dividend income

Dividend income is recognized when the Company's right to receive the income is established.

3.14.3.2 Gain or losses on disposal of property plant and equipment, Investment property and real estates

Gains or losses resulting from the disposal of property, plant and equipment, investment properties are accounted for on realized basis in the income statement, in the period in which the sale occurs.

3.14.3.3 Other Income

Other income is recognized on an accrual basis.

3.15 Personnel expenses

Details of "Personnel expenses" are given in note 9.

3.16 General and administrative expense

General and administration expenses are recognized in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the income statement in arriving at the profit for the year.

3.17 Income tax expense

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rate of 30%.

3.18 Events after the reporting period

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

3.19 Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard – 'LKAS 7' – 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.

3.20 Fair value measurement

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted pricing in an active market, then the Company uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

NOTES TO THE FINANCIAL STATEMENTS

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

4 INTEREST INCOME

Accounting Policy

Income is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The specific recognition criteria, for each type of income, are given below. For all financial instruments measured at amortised cost, interest income is recorded using the Effective Interest Rate (EIR). EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

Interest income on financial assets that are credit-impaired (classified under Stage 3 of the expected credit loss model) is recognised using the effective interest rate (EIR), applied to the net carrying amount of the financial asset. This treatment applies even if the contractual terms of the asset no longer require interest payments when a facility has expired), as per the requirements of SLFRS 9 – Financial Instruments.

Interest on Overdue Rentals

Interest from overdue rentals have been accounted for on a cash basis.

Recognition of Moratorium interest income for credit facilities under moratoriums

The Company recognises the moratorium interest income on the concessionary rate during the moratorium period.

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Interest on leases	4.1	95,366,957	23,207,288
Interest on loans	4.1	1,446,335,771	467,331,687
Overdue interest		99,696,499	71,288,122
Interest income on early terminated contracts		25,513,596	10,044,184
Interest on treasury bills in reverse repurchase agreements	4.1	171,874,193	573,114,410
Interest on bank deposits		362,431,994	443,550,123
Interest on gold loans	4.1	3,771,642,411	4,046,372,145
		<u>5,972,861,421</u>	<u>5,634,907,959</u>

- 4.1 Interest on loans, interest on leases, interest on gold loans and Interest on treasury bills in reverse repurchase agreements where interest is accrued by applying the EIR to the gross carrying amount of the financial asset.

5 INTEREST EXPENSES

Accounting Policy

Under SLFRS 9, interest income and Interest expense are recorded using the Effective Interest Rate method for all financial assets measured at amortised cost and all financial liabilities measured at amortised cost respectively. Interest expenses presented in the income statement includes finance liabilities measured at amortised cost and interest on lease liabilities.

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Interest on fixed deposits		2,217,128,088	2,663,300,660
Interest on savings deposits		1,250,232	613,713
Interest on other borrowings	31.1	548,136,720	956,702,679
Interest on leased liability	32	58,079,380	42,338,086
Interest on debenture	34.3	177,111,430	361,151,772
Interest on bank loans	31.3	353,686,086	226,300,763
		<u>3,355,391,936</u>	<u>4,250,407,673</u>

6 NET INTEREST INCOME

Accounting Policy

Net interest margin is the difference between the interest income generated and the amount of interest paid out to lenders. A positive net interest margin indicates the efficiency in investing.

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Interest income	5,972,861,421	5,634,907,959
Interest expenses	(3,355,391,936)	(4,250,407,673)
	<u>2,617,469,485</u>	<u>1,384,500,286</u>

7 FEE AND COMMISSION INCOME

Accounting Policy

The Company earns fees and commission income from a diverse range of services it provides to its customers. Fees and commission income are accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Documentation charges and service charges	847,973,535	906,879,246
Fee and commission expenses	(48,346,033)	(29,425,560)
Insurance commission income	3,919,683	2,123,903
	<u>803,547,185</u>	<u>879,577,589</u>

8 OTHER OPERATING INCOME

Accounting Policy

Other operating income includes income earned on other sources, which are not directly related to the normal operations of the Company and is recognised on cash basis.

Recovery of written-off debts/disposal losses

Recovery of amounts previously written-off as bad and doubtful debts is recognised on a cash basis.

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Loss on disposal of property, plant and equipment	(1,402,225)	(1,077,345)
Dividend income	268,900	179,520
Recovery of written off contracts	72,789,439	47,493,670
Sundry income	11,549,285	14,069,152
Loss from foreign currency savings	(498,771)	(1,043,028)
Rent income from investment property	-	18,000
Gain on expiration of operating lease agreements and other adjustment	41,710,997	-
	<u>124,417,625</u>	<u>59,639,969</u>

9 PERSONNEL EXPENSES

Accounting Policy

Personnel expenses include salaries, bonus, terminal benefit charges and other related expenses. The provision for bonus is recognised when it is probable that an outflow of resources embodying the economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation. Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations. Retirement benefit obligation is recognised in the Statement of Income based on an actuarial valuation carried out for the gratuity liability in accordance with Sri Lanka Accounting Standard - LKAS 19 - Employee Benefits.

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Directors' remuneration	26,139,400	23,040,164
Salaries and bonus	375,597,725	288,962,891
Defined contribution plan costs - EPF and ETF	56,345,752	38,646,107
Other staff related expenses	178,611,509	85,439,324
Provision for staff retirement benefits	10,814,992	14,035,862
	<u>647,509,378</u>	<u>450,124,348</u>

10 DEPRECIATION AND AMORTISATION COST

Accounting Policy

Depreciation is calculated to write-off the cost of items of property, plant and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is recognised in the income statement.

The estimated useful lives are as follows;

Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	6.5 years
Computer hardware	6 years
Investment property building	15 years
Building	15 years

All classes of property, plant and equipment together with the reconciliation of carrying amounts and accumulated depreciation at the beginning and at the end of the year are given in Note 23.

Amortisation of right-of-use-assets

Right-of-use assets are depreciated over the lease term of the assets in the absence of reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Depreciation of property, plant and equipment and investment property		87,577,139	68,554,916
Amortisation of right-of-use assets	24	88,882,377	67,224,605
Amortisation of intangible assets	26	10,201,959	9,531,653
		<u>186,661,475</u>	<u>145,311,174</u>

11 IMPAIRMENT CHARGE FOR LOANS AND ADVANCES

Accounting Policy

The Company recognises the changes in the impairment provisions for loans and receivables which are assessed as per the SLFRS 9 - Financial Instruments. The methodology adopted by the Company in determining the same is explained in Note 19 to these financial statements.

For Loans and advance defined in as threshold, the Company assessed for significant increases in credit risk (SICR). If a particular loan is individually impaired, the amount of losses is measured as the difference between the assets carrying amount and the present value of estimated future cashflows and the haircut value of the securities if available. If any loans and advances have no provisions under individual assessment, such financials assets are then collectively assessed for impairments along with remaining maturity portfolios.

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Individual impairment charge / (reversal)	474,577,827	579,670,795
Collective impairment charge / (reversal)	245,896,025	(74,632,158)
	<u>720,473,852</u>	<u>505,038,637</u>

11.1 Product wise Impairment charge / (reversal)

Lease rentals receivable	76,630,868	(21,711,808)
Mortgage loans	(60,244,093)	8,669,420
Micro mortgage loans	2,630,112	3,107,000
Personal and corporate loans	420,540,478	(100,021,126)
Group personal loans	63,169,429	99,110,902
Micro finance loans	380,554,638	177,751,618
Project financing loan	(495,575)	(11,970)
Gold loan	(162,312,005)	338,144,601
	<u>720,473,852</u>	<u>505,038,637</u>

12 OPERATING PROFIT BEFORE TAXES ON FINANCIAL SERVICES

Accounting Policy

Expenditure recognition

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement. For the purpose of presentation of the statement of profit or loss, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company’s performance.

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Operating profit before taxes on financial services is stated after charging all expenses including the following;			
Depreciation and amortisation	10	97,779,098	78,086,569
Depreciation on right of use assets	10	88,882,377	67,224,605
Auditors' remuneration - external audit current year		2,750,000	2,862,000
- Non-audit		4,540,000	2,840,548
Advertising and business promotion		120,155,044	64,582,545
Professional and legal fees		56,916,067	26,879,453
Operational expenses on investment property		1,295,457	10,000
		<u>372,318,043</u>	<u>242,485,720</u>

13 TAXES ON FINANCIAL SERVICES

Accounting Policy

VAT on Financial services

VAT on Financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The base for value added tax on financial services is calculated by adjusting the economic depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before income tax and emoluments payable. Emoluments payable include cash benefits, non-cash benefits including terminal benefits. VAT on Financial services is charged at the rate of 18%.

Social Security Contribution Levy

Social Security Contribution Levy (SSCL) was imposed with effect from October 01, 2022, at the rate of 2.5% by the Social Security Contribution Levy Act, No. 25 of 2022 (SSCL Act).

For the year ended 31st March,

	2025 Rs.	2024 Rs.
VAT on financial services	268,797,473	87,399,981
Social security contribution levy	30,894,541	17,304,575
	<u>299,692,014</u>	<u>104,704,556</u>

14 INCOME TAX EXPENSES

Accounting Policy

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognised directly in the income statement except to the extent that it relates to items recognised directly in equity, in which case, it is recognised in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from, or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the accounting profit before tax and taxable income as required by the Sri Lanka Accounting Standard – LKAS 12 on ‘Income Taxes’.

14 INCOME TAX EXPENSES (CONT.)

For the year ended 31st March,

	Note	2025 Rs.	2024 Rs.
Major components of income tax expense			
Income Statement			
Current income tax charge	14.1	198,726,323	47,054,021
Previous year under / (over) provision		(44,937,762)	247,115
Deferred tax expense / (reversal)		40,877,309	(18,000,000)
Total current income tax reported in the profit or loss		194,665,870	29,301,136
Statement of profit or loss and other comprehensive income			
Deferred tax effect on revaluation gain		3,886,436	13,053,327
Deferred tax effect on actuarial gain / (loss)		(704,696)	3,819,139
Total income tax expenses reported in the other comprehensive income		3,181,740	16,872,466
Net effect to the profit or loss and other comprehensive income		197,847,610	46,173,602

14.1 Reconciliation of accounting profit before tax and taxable income

For the year ended 31st March,

	2025		2024	
	Effective Tax Rate (%)	Rs.	Effective Tax Rate (%)	Rs.
Profit before taxation		635,809,540		373,487,839
Disallowable expenses	199%	1,266,049,362	215%	801,574,414
Allowable expenses	-191%	(1,213,946,974)	-226%	(844,340,778)
Exempt income	-4%	(25,490,850)	-3%	(11,705,637)
Assesable income	0%	-	-2%	(7,169,101)
Statutory income	104%	662,421,078	83%	311,846,737
Tax loss brought forwarded and utilized	0%	-	-42%	(155,000,000)
Taxable income	104%	662,421,078	42%	156,846,737
Income tax expense	31%	198,726,323	13%	47,054,021

14.2 Deferred tax assets / (liabilities)

Accounting Policy

Deferred tax assets are recognised for all deductible temporary differences, and unused tax credits and tax losses carried forward, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the unused tax credits and tax losses carried forward can be utilised.

The carrying amount of deferred tax assets/ liability is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realised or liability is settled, based on the tax rates and tax laws that have been enacted or substantively enacted as at the reporting date.

Current and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority, there is a legal right and intentions to settle on a net basis and it is allowed under the tax law of the relevant jurisdiction.

14.3 Movement in Deferred Tax Asset / (Liabilities)

As at 31st March,

	Note	2025 Rs.	2024 Rs.
Balance at the beginning of the year		38,550,183	37,422,647
Charge / (reversal) during the year	14.4	44,059,049	(1,127,534)
Balance as at the end of the year		(5,508,866)	38,550,183

14.2 DEFERRED TAX ASSETS / (LIABILITIES) (CONT.)

14.4 Charge / (reversal) for deferred taxation recognized in,

Profit or loss	40,877,309	(18,000,000)
Other comprehensive income	3,181,740	16,872,466
	<u>44,059,049</u>	<u>(1,127,534)</u>

14.5 Deferred tax assets / (liabilities) relate to the following:

Recognised under assets	14.5.2	162,887,044	129,016,977
Recognised under liabilities	14.5.1	(168,395,910)	(90,466,794)
Deferred tax assets / (liabilities) balance		<u>(5,508,866)</u>	<u>38,550,183</u>

	2025		2024	
	Temporary Difference	Tax Effect on Temporary Difference	Temporary Difference	Tax Effect on Temporary Difference
	Rs.	Rs.	Rs.	Rs.
14.5.1 Deferred tax liabilities				
Revaluation reserve	(56,465,877)	(16,939,763)	(43,511,090)	(13,053,327)
Property, plant and equipment	(114,023,345)	(34,207,004)	(71,605,830)	(21,481,749)
Right of use assets	(390,830,478)	(117,249,143)	(186,439,061)	(55,931,718)
	<u>(561,319,700)</u>	<u>(168,395,910)</u>	<u>(301,555,981)</u>	<u>(90,466,794)</u>
14.5.2 Deferred tax assets				
Retirement benefit obligation	50,096,525	15,028,957	39,543,427	11,863,028
Carried forward tax loss and unused tax credit	-	-	96,539,320	28,961,796
Transitional adjustment	-	-	47,705,850	14,311,755
Lease liabilities	411,187,318	123,356,195	219,443,237	65,832,971
Provision for impairment of loans and receivables	81,672,973	24,501,892	26,824,757	8,047,427
	<u>542,956,816</u>	<u>162,887,044</u>	<u>430,056,591</u>	<u>129,016,977</u>
Net deferred tax assets / (liabilities)	<u>(18,362,884)</u>	<u>(5,508,866)</u>	<u>128,500,610</u>	<u>38,550,183</u>

- 14.6** With the enactment of the inland revenue (Amendment) Act No. 45 of 2022, income tax rate was revised from 30% effective from 01st October 2022 of the year of assessment 2022/2023. Accordingly, income tax rate of 30% was applied on the taxable income of the Company for the year ended 31st March 2024 and 2025.

15 CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Accounting Policy

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 'Financial Instruments' under the headings of the Statement of Financial Position.

As at 31st March,

Note

	FVOCI Rs.	2025	
		Amortized Cost Rs.	Total Rs.
Assets			
Cash and cash equivalents	-	3,150,043,244	3,150,043,244
Other financial assets at amortized cost	-	2,846,501,028	2,846,501,028
Financial assets at amortised cost - loans and advances	-	29,157,077,081	29,157,077,081
Financial assets - fair value through other comprehensive income		-	300,000
Total financial assets		35,153,621,353	35,153,921,353

15.2

Liabilities

Due to banks	-	50,418,316	50,418,316
Dividend payable	-	29,455,778	29,455,778
Financial liabilities - other borrowed funds	-	9,291,880,609	9,291,880,609
Lease liabilities	-	411,187,318	411,187,318
Due to customers	-	20,004,208,401	20,004,208,401
Debenture	-	2,677,894,881	2,677,894,881
Total financial liabilities		32,465,045,304	32,465,045,304

As at 31st March,

2024

	FVOCI Rs.	2024	
		Amortized Cost Rs.	Total Rs.
Assets			
Cash and cash equivalents	-	1,383,706,511	1,383,706,511
Other financial assets at amortized cost	-	4,259,458,514	4,259,458,514
Financial assets at amortised cost - loans and advances	-	19,057,508,451	19,057,508,451
Financial assets - fair value through other comprehensive income	506,659	-	506,659
Total financial assets	506,659	24,700,673,476	24,701,180,135

Liabilities

Due to banks	-	47,637,705	47,637,705
Dividend payable	-	475,406	475,406
Financial liabilities - other borrowed funds	-	6,050,495,203	6,050,495,203
Lease liabilities	-	219,443,235	219,443,235
Due to customers	-	14,485,136,166	14,485,136,166
Debenture	-	1,058,730,444	1,058,730,444
Total financial liabilities		21,861,918,159	21,861,918,159

15 CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES (CONT.)

15.1 Determination of fair value and fair value hierarchy

The following is a description of how fair values are determined for financial assets recorded at fair value using the valuation techniques. They incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. As at 31 March 2025 the Company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

15.2 Assets measured at fair value

As at 31st March,

2025				
Total	Level 01	Level 02	Level 03	
Rs.	Rs.	Rs.	Rs.	Rs.
300,000	-	-	-	300,000
2024				
Total	Level 01	Level 02	Level 03	
Rs.	Rs.	Rs.	Rs.	Rs.
506,659	-	-	-	506,659

Financial assets - fair value through other comprehensive income

Financial assets - fair value through other comprehensive income

16 OFF SETTING FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when, and only when, the Company has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SIFRSs, or for gains and losses arising from a Company of similar transactions. During the year Company has not offset any financial assets and financial liabilities in the Statement of Financial Position. Offsetting of financial instruments based on the rights of set off relating to the financial instruments and cash collateral is as follows;

The financial instruments and cash collateral amounts have been recorded at amortised cost. The rights of set off relating to the financial instruments and cash collateral are conditional upon the default of the counterparty.

As at 31st March,

	2025			
	Gross Amounts	Cash Collateral	Net Amount	
	Rs.	Rs.	Rs.	
Financial assets				
Financial assets at amortised cost - loans and advances	31,334,289,469	332,393,832	31,001,895,637	
Financial liabilities				
Due to customers	20,004,208,401	332,393,832	19,671,814,569	
<i>As at 31st March,</i>				
	2024			
	Gross Amounts	Cash Collateral	Net Amount	
	Rs.	Rs.	Rs.	
Financial assets				
Financial assets at amortised cost - loans and advances	20,564,656,009	336,885,568	20,227,770,441	
Financial liabilities				
Due to customers	14,485,136,166	336,885,568	14,148,250,598	

17 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents include cash in hand and balances placed with banks. These are subject to an insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments. They are brought to financial statements at their face values or the gross values, where appropriate.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

As at 31st March,

	2025 Rs.	2024 Rs.
Cash in hand	261,535,809	158,229,824
Cash in hand in foreign currency	4,830,954	147,215
Cheque in hand	40,404,437	63,258,306
Current accounts with banks	251,157,349	90,964,848
Savings accounts with banks	2,580,602,789	1,059,328,427
Savings accounts with banks in foreign currency	11,511,906	11,777,891
	<u>3,150,043,244</u>	<u>1,383,706,511</u>

18 OTHER FINANCIAL ASSETS AT AMORTIZED COST

Accounting Policy

These include Securities under Reverse Repurchase Agreements, where we are the transferee, investment in government securities and investments in fixed deposits with banks and other financial institutions. Securities purchased under agreements to re-sell at a specified future date are recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, reflecting the transaction's economic substance as a loan provided by the Company. The difference between the purchase and resale prices is recorded in 'Interest income' and is accrued over the life of the agreement using the EIR.

As at 31st March ,

	Note	2025 Rs.	2024 Rs.
Reverse repurchase agreements against treasury bills and bonds		2,063,167,575	1,690,988,386
Debenture Investments	18.1	64,958,743	64,483,914
Short-term investments	18.2	718,374,710	2,503,986,214
		<u>2,846,501,028</u>	<u>4,259,458,514</u>
		2025 Rs.	2024 Rs.
18.1 Debenture Investments - Counterparty External Credit Ratings			
Seylan Bank - 'BBB(lka)		64,958,743	64,483,914
		<u>64,958,743</u>	<u>64,483,914</u>
(Ratings are based on Fitch Ratings Lanka Ltd.)			
18.2 Short Term Investments - Counterparty External Credit Ratings			
Sampath Bank - AA- (lka)		15,780,364	15,720,610
NDB Bank - A- (lka)		-	77,286,795
Senfin Asset Management (Pvt) Ltd - AAf (lka)		153,365,505	-
JB Vantage Money market fund - A- (f)		9,814,883	461,909,965
First capital, NDB wealth money market fund & Capital Alliance Investment - Unrated		69,387,109	1,485,235,968
LOLC - A		470,026,849	463,832,876
		<u>718,374,710</u>	<u>2,503,986,214</u>

19 FINANCIAL ASSETS AT AMORTISED COST – LOANS AND ADVANCES

Accounting Policy

Loans and receivables are measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment are recognised in the income statement in "impairment charges for loans and receivables and other losses".

19 FINANCIAL ASSETS AT AMORTISED COST – LOANS AND ADVANCES (CONT.)

Leasing

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the assets.

Gold Loans

Gold loan is a secured loan taken by the borrower from a lender by pledging their gold articles (within the range of 18-24 carats) as a collateral. The loan amount provided is a certain percentage of the gold, based on the current market value and quality of gold.

Restructured Loans and Receivables

The Company seeks to restructure loans and receivables with additional collateral when the client does not meet payments on a timely manner. This may involve extending the payment arrangements and the agreement of new receivable conditions. Once the terms have been re-negotiated, any impairment is measured using the original EIR as calculated before the modification of terms and the receivable is no longer considered past due. Management continually reviews renegotiated loans and receivables to ensure that all criteria are met and that future payments are likely to occur. The loans and receivables continue to be measured at amortised cost using the original EIR and are subject to an individual or collective impairment assessment.

As at 31st March,

	2025 Rs.	2024 Rs.
Gross loans and advances	31,334,289,469	20,564,656,009
Provision for impairment - Collective	(803,752,286)	(557,856,261)
Provision for impairment - Individual	(1,369,857,707)	(945,688,902)
Net interest margin	(3,602,395)	(3,602,395)
Net loans and advances	29,157,077,081	19,057,508,451
19.1 Loans and advances - Analysis by product		
Lease rentals receivable	950,456,736	336,858,881
Pledge loans	332,393,832	336,885,568
Personal and corporate loans	1,241,076,690	1,170,489,300
Group personal loans	141,035,932	159,570,137
Mortgage loans	1,723,487,254	1,807,831,101
Micro mortgage loans	4,759,108,920	1,621,628,495
Micro finance loans	902,219,917	809,062,724
Project financing loan	-	689,467
Gold loan	21,284,510,188	14,321,640,336
	31,334,289,469	20,564,656,009
19.2 Impairment Provision - Analysis by product		
Lease rentals receivable	147,645,086	71,014,218
Mortgage loans	104,186,199	164,430,292
Micro mortgage loans	5,737,112	3,107,000
Personal and corporate loans	948,546,417	528,103,919
Group personal loans	125,631,478	62,462,049
Micro finance loans	819,914,653	439,360,017
Project financing loan	-	495,575
Gold loan	21,949,048	234,572,093
	2,173,609,993	1,503,545,163
19.3 Net Interest Margin - Analysis by product		
Lease rentals receivable	225,522	225,522
Mortgage loans	830,840	830,840
Personal and corporate loans	507,732	507,732
Group personal loans	16,703	16,703
Micro finance loans	13,784	13,784
Care gold loan	2,007,814	2,007,814
	3,602,395	3,602,395

19 FINANCIAL ASSETS AT AMORTISED COST – LOANS AND ADVANCES (CONT.)

19.4 Impairment charge / (reversal) to the income statement

For the year ended 31st March,

	2025	2024
	Rs.	Rs.
Stage 1	(33,052,008)	(13,003,264)
Stage 2	(19,188,619)	(73,868,009)
Stage 3	772,714,479	591,909,910
Total	720,473,852	505,038,637

19.5 Financial assets at amortised cost – Loans and advances

As at 31st March,

	2025				2024			
	Rs.				Rs.			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross loans and advances	24,899,734,478	2,523,902,357	3,910,652,634	31,334,289,469	15,152,724,097	865,399,276	4,546,532,636	20,564,656,009
Provision for impairment	(68,066,094)	(10,725,818)	(2,094,818,081)	(2,173,609,993)	(101,118,102)	(29,914,437)	(1,372,512,624)	(1,503,545,163)
Provision net interest margin	-	-	(3,602,395)	(3,602,395)	-	-	(3,602,395)	(3,602,395)
Net Loans and advances	24,831,668,384	2,513,176,539	1,812,232,158	29,157,077,081	15,051,605,995	835,484,839	3,170,417,617	19,057,508,451

19.5.1 Movement in stage wise impairment provision

As at 31st March,

	2025				2024			
	Rs.				Rs.			
Note	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment
Balance at the beginning of the year	101,118,102	29,914,437	1,372,512,624	1,503,545,163	114,121,366	103,782,446	1,472,546,877	1,690,450,689
Charge / (reversal) to the income statement	(33,052,008)	(19,188,619)	772,714,479	720,473,852	(13,003,264)	(73,868,009)	591,909,910	505,038,637
Write off of during the year - Non-gold loan	-	-	(97,982)	(97,982)	-	-	(491,469,211)	(491,469,211)
Write off of during the year - Gold loan	-	-	(50,311,040)	(50,311,040)	-	-	(228,637,712)	(228,637,712)
Transferred from NIM	-	-	-	-	-	-	28,162,760	28,162,760
Balance at the end of the year	68,066,094	10,725,818	2,094,818,081	2,173,609,993	101,118,102	29,914,437	1,372,512,624	1,503,545,163

19.5.1.1 The Company is currently engaged in ongoing legal proceedings aimed at the recovery of written off balances of Rs. 50,409,022. As of the reporting date, legal actions are underway against several counter parties, with the objective of recovering part or all of the outstanding balances. While the Company believes it has valid claims, the outcome of these proceedings remains uncertain and subject to court rulings and enforcement processes. Management will continue to monitor the progress of these cases, and any amounts recovered will be recognized in income

NOTES TO THE FINANCIAL STATEMENTS

19 FINANCIAL ASSETS AT AMORTISED COST – LOANS AND ADVANCES (CONT.)

19.6 Movement in stage wise loans and advances

As at 31st March,

As at 31st March,	2025				2024			
	Rs.			Total	Rs.			Total
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Balance at the beginning of the year	15,152,724,097	865,399,276	4,546,532,636	20,564,656,009	15,641,799,036	1,836,234,257	3,722,483,326	21,200,516,619
Transfer to stage 01	60,612,648	(3,617,294)	(56,995,354)	-	181,060,735	(145,118,330)	(35,942,405)	-
Transfer to stage 02	(216,269,662)	226,457,846	(10,188,184)	-	(893,869)	12,609,019	(11,715,150)	-
Transfer to stage 03	(143,414,786)	(28,714,973)	172,129,759	-	(43,301,035)	(484,533,892)	527,834,927	-
New assets originated or purchased	23,423,202,836	2,304,559,221	998,380,567	26,726,142,624	14,938,937,446	818,299,754	1,343,005,953	17,100,243,153
Financial assets derecognised or repaid	(13,377,120,655)	(840,181,719)	(1,688,797,768)	(15,906,100,142)	(15,564,878,216)	(1,172,091,532)	(279,027,092)	(17,015,996,840)
Write-offs	-	-	(50,409,022)	(50,409,022)	-	-	(720,106,923)	(720,106,923)
Balance as at the end of the year	24,899,734,478	2,523,902,357	3,910,652,634	31,334,289,469	15,152,724,097	865,399,276	4,546,532,636	20,564,656,009

19.7 Loans and advances - product analysis by stagewise

As at 31st March,

As at 31st March,	2025				2024			
	Rs.				Rs.			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gold loan	16,908,701	2,159,287	2,881,060	21,949,048	105,949,907	22,620,000	106,002,186	234,572,093
Non gold loan	51,157,393	8,566,530	2,091,937,022	2,151,660,945	(4,831,805)	7,294,437	1,266,510,438	1,268,973,070
	68,066,094	10,725,817	2,094,818,082	2,173,609,993	101,118,102	29,914,437	1,372,512,624	1,503,545,163

19.8 The following table provides an explanation of how significant changes in gross loans and advances during the period contributed to changes in impairment provision.

As at 31st March,

	2025			
	Impact : Increase/(Decrease)			
	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
<i>Due to the branch expansion and the change in the product strategy</i>				
Gross gold loan	6,306,590,732	1,228,904,990	(572,625,870)	6,962,869,852
Provision for impairment	(89,041,206)	(20,460,713)	(103,121,126)	(212,623,045)
	6,395,631,938	1,249,365,703	(469,504,744)	7,175,492,897
<i>Due to the branch expansion and the change in the business strategy to mitigate the concentration risk</i>				
Gross non gold loan	3,440,419,649	429,598,091	(63,254,132)	3,806,763,608
Provision for impairment	55,989,198	1,272,093	825,426,584	882,687,875
	3,384,430,451	428,325,998	(888,680,716)	2,924,075,733

20 OTHER NON FINANCIAL ASSETS

Accounting Policy

Other non-financial assets mainly comprise the advance payments, admin consumable stock and sundry receivable. Admin consumable stock is recognized as an inventory item under other non-financial assets. Valued at cost. Expensed to the income statement when issued or consumed. Reviewed periodically for obsolete or damaged items, which are written off as necessary.

Other Assets

Payments made by a company for goods or services to be received or consumed in future accounting periods. Since the benefit of the expense extends beyond the current period, the cost is not immediately recognized in the income statement but is recorded as an asset and gradually expensed over time.

As at 31st March,

	2025 Rs.	2024 Rs.
Admin consumable stock	24,058,581	-
Other assets	154,334,862	130,133,093
	178,393,443	130,133,093

21 ADVANCES, DEPOSITS AND PREPAYMENTS

Accounting Policy

Advance payments are carried at historical cost.

Advances and prepayments	22,751,020	7,714,746
Refundable deposits	53,839,600	36,389,800
Other receivables	122,758,586	58,709,179
	199,349,206	102,813,725

22 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Notes	No. of Shares	Fair value as at 31.03.2025 Rs.	Fair value as at 31.03.2024 Rs.
Unquoted Ordinary shares				
Finance Houses Association of Sri Lanka	22.1	20,000	200,000	200,000
Credit Information Bureau of SL (CRIB)	22.1	100	100,000	306,659
		20,100	300,000	506,659

22.1 Remeasurment reconized to OCI

	Notes	Finance Houses Association of Sri Lanka Rs.	Credit Information Bureau of SL (CRIB) Rs.	Total Rs.
Balance at the beginning of the year		200,000	306,659	506,659
Remeasurment reconized to OCI	22.2	-	(206,659)	(206,659)
Balance at the end of the year		200,000	100,000	300,000

22.2 As these investments are unquoted and have no active market from which a reliable fair value could be obtained. As a result, these are valued using the respective net asset values attributable to the investee which is Rs. 1,000 per share as at 31st March 2025. This fair valuation can be classified as a level 3 valuation as per SLFRS 13 - "Fair Value Measurement".

22.3 The Company classifies equity investments under fair value through other comprehensive income (FVOCI) in accordance with SLFRS 9. The Company designated these investments as FVOCI because these investments represent investments, that Company intends to hold for long-term strategic purposes.

22.4 The change in fair value does not arise from a startegic disposal, and solely from the period end fair value adjustments, reflecting the updated market values.

22.5 Sensitivity of the fair value measurement of the of the Company financial Assets - FVOCI

Significant Unobservable Valuation	Sensitivity of the Fair Value Measurement to Inputs
Net assets per share	if net assets per share increase / (decrease) ; fair value increase / decrease

22.6 There are no transfers between the level 01 and level 02 of the fair value hierarchy during the year ended 31st March 2025.

23 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Basis of Recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used for more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the Company and the cost of the assets can be measured reliably.

Basis of measurement

Cost Model

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The Company applies the cost model to land and building, office equipment, computers, furniture and fittings records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

The Company revalues its motor vehicles which are measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and accumulated impairment losses. Revaluations are made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

On revaluation of motor vehicles, any increase in the revaluation amount is credited to the revaluation reserve in shareholder's equity unless it off sets a previous decrease in value of the same asset that was recognised in the income statement. A decrease in value is recognised in the income statement where it exceeds the increase previously recognised in the revaluation reserve. Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

The Company carries its motorvehicle at fair value, valuations of the motor vehicles were carried out as at 31st March 2025 by S&T Vehicle Valuation Center (Pvt) Ltd. Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets (Level 3).

The carrying valaue of revalued assets as at 31st March 2025 that would have been included in the financials statmenets of the Company had the assets been arried at cost less depreciation is as follows,

	Cost Rs.	Accumulated Depreciation Rs.	Carrying Value Rs.
Motor vehicle	54,163,268	46,071,358	8,091,910

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the income statement as incurred.

Repairs and maintenance

Repairs and maintenance are charged to the income statement during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the

23 PROPERTY, PLANT AND EQUIPMENT (CONT.)

Derecognition

Property, plant and equipment are derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognized.

Depreciation

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment, and commence to depreciate when they are available for use, i.e. when they are in the location and condition necessary for them to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted, if appropriate.

Gross carrying amounts

	Land & building Rs.	Motor vehicle Rs.	Office equipment Rs.	Computers Rs.	Furniture and fittings Rs.	Total Rs.
Cost / Revaluation						
Balance at 01 April 2024	-	56,543,473	305,796,788	92,081,220	85,693,958	540,115,439
Additions during the year	249,599,000	941,527	124,672,527	60,849,946	41,992,127	478,055,127
Disposals during the year	-	(2,080,000)	-	(156,100)	-	(2,236,100)
Revaluation adjustment on accumulated depreciation	-	(10,284,787)	-	-	-	(10,284,787)
Revaluation gain	-	12,954,787	-	-	-	12,954,787
Balance at 31 March 2025	249,599,000	58,075,000	430,469,315	152,775,066	127,686,085	1,018,604,466

	Land & Building Rs.	Motor vehicle Rs.	Office equipment Rs.	Computers Rs.	Furniture and fittings Rs.	Total Rs.
Accumulated depreciation						
Balance at 01 April 2024	-	1,186,964	141,913,149	49,587,521	34,143,693	226,831,327
Charge for the year	494,027	10,070,322	49,890,190	16,660,103	14,881,971	91,996,614
Disposals during the year	-	(296,609)	-	(97,266)	-	(393,875)
Revaluation adjustment on accumulated depreciation	-	(10,284,787)	-	-	-	(10,284,787)
Balance at 31 March 2025	494,027	675,890	191,803,339	66,150,358	49,025,664	308,149,278

As at 31st March,

Net Book value

	2025 Rs.	2024 Rs.
Land & building	249,104,973	-
Motor vehicle	57,399,110	55,356,509
Office equipment	238,665,976	163,883,639
Computers	86,624,708	42,493,699
Furniture and fittings	78,660,421	51,550,265
	710,455,188	313,284,112

23 PROPERTY, PLANT AND EQUIPMENT (CONT.)

23.1 During the 12 months year ended 31st March 2025, the Company acquired property, plant and equipment to the aggregate value of Rs. 478,055,127 (2024 - Rs. 142,266,165). Cash payments amounting to Rs. 478,055,127 (2024 - 142,266,165) were paid during the period for the purchases of property, plant and equipment. During the year the Company has performed a valuation for the motor vehicles as a result Rs. 12,954,787 revaluation gain has occurred and transferred it to the revaluation reserves.

23.2 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs. 122,416,640 (2024 - Rs. 147,601,392).

23.3 There were no property, plant and equipment idling as at 31st March 2025 and 31st March 2024.

23.4 There was no restriction on the title of property, plant and equipment as at 31st March 2025 and 31st March 2024.

23.5 There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March 2025 and 31st March 2024.

23.6 There was no capitalised borrowing cost related to the acquisition of property, plant and equipment during the financial year 2025 and 2024.

23.7 The Board of Directors has assessed the potential impairment loss on property, plant and equipment as at 31st March 2025. Based on the assessment, no impairment provision is required to be made in the financial statements as at reporting date.

23.8 Information on the Land and Building

The valuations of the Freehold Land and Buildings of the Company are carried out at minimum once in every three years or more frequently if the fair values previously disclosed are substantially different from the fair values as at the reporting date.

The Company engages independent professional valuers for revaluation of its freehold land and buildings as specified by the Direction No. 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka.

Information on the land and buildings as required by the Rule No 7.6 (viii) of the 'Continuing Listing Requirements' of the Colombo Stock Exchange.

Location	Number of Buildings	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs	Extent - Land	Extent - Building	Fair Value
No 76, Dharmapala Mawatha Colombo 03	01	Contractor's Method Price per Perch / Price per Square Feet	Rs. 21,000,000 p.p. / Rs. 14,500 p.sq.ft.	00A 00R 8.80 P (0. 223 hectares)	3907.6 sq.ft	241,000,000

Land and building of the Company are considered under Level 3 of fair value hierarchy.

Valuation of land and buildings was carried out as at by Daya Lalith Palihakkara. Royal Institution of Chartered Surveyors (RICS) - UK, incorporated valuer.

23.9 Valuation techniques and sensitivity of the fair value measurement of the land and building of the Company

Valuation Technique	Significant Unobservable Valuation Inputs	Sensitivity of the Fair Value Measurement to Inputs
Contractor's Test Method	Price per Perch of Land / Price per Square Feet	Estimated fair value would increase / (decrease) if ; Price p.p of Land /sq.ft. increase / decrease

Valuation techniques and sensitivity of the fair value measurement of the property, plant and equipment of the Company

Valuation Technique	Significant Unobservable Valuation Inputs	Sensitivity of the Fair Value Measurement to Inputs
Market comparison approach	Estimated resale value	Estimated fair value would increase / (decrease) if ; estimated resale value increase / decrease
	Adjustment for physical condition	Estimated fair value would increase / (decrease) if ; adjustment for physical condition (decrease) / increase
	Usage adjustment (Mileage, Age)	Estimated fair value would increase / (decrease) if ; usage adjustment (decrease) / increase

24 RIGHT-OF-USE ASSETS

Accounting Policy

Basis of recognition

The Company applies Sri Lanka Accounting Standard SLFRS 16 “Leases” in accounting for all leasehold rights except for short-term leases, which are held for use in the provision for services.

Basis of Measurement

The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortisation and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Amortisation

Right-of-use assets are amortised over the lease term of the assets as there is no reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

Derecognition / Termination

Right-of-use assets are derecognised on termination of the agreement with the lessor or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset is recognised in ‘Other operating income’ in the income statement in the year, the asset is derecognised.

As at 31st March,

	2025 Rs.	2024 Rs.
Cost		
Balance at the beginning of the year	440,081,146	367,059,688
Additions during the year	297,962,412	73,021,458
Disposal during the year	(52,862,004)	-
Other adjustments during the year	(72,205,974)	-
Balance at the end of the year	612,975,580	440,081,146
Accumulated amortisation		
Balance at the beginning of the year	253,642,085	186,417,480
Amortisation for the year	88,882,377	67,224,605
Disposal during the year	(40,163,147)	-
Other adjustments during the year	(80,216,212)	-
Balance at the end of the year	222,145,103	253,642,085
Net book value	390,830,477	186,439,061

25 INVESTMENT PROPERTY

Accounting Policy

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, to be used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognized at cost. Subsequent to initial recognition, the investment properties are stated at cost.

De-recognition

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property is recognized in the income statement in the year of retirement or disposal.

25 INVESTMENT PROPERTY (CONT.)

Subsequent transfers to / from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sell.

For a transfer from investment property to owner occupied property, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from loans and advances to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the income statement. When the Company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the income statement.

The estimated useful life of the buildings is assessed as 15 years.

As at 31st March,

	2025 Rs.	2024 Rs.
Cost		
Balance at the beginning of the year	334,011,484	332,558,647
Additions during the year	-	1,452,837
Transfers from loans and advances during the year	102,536,040	-
Balance at the end of the year	436,547,524	334,011,484
Accumulated Depreciation		
Balance at the beginning of the year	9,712,377	8,496,456
Charge for the year	1,560,744	1,215,921
Balance at the end of the year	11,273,121	9,712,377
Net book value	425,274,403	324,299,107

Fair value of the investment property for the purpose of disclosure in note 25.3 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

25.1 Rent income recognized in respect to the above investment property is disclosed in Note 08.

25.2 Advance Received for Investment Property

As at 31st March,

	2025 Rs.	2024 Rs.
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	1,063,000	1,063,000
	1,063,000	1,063,000

NOTES TO THE FINANCIAL STATEMENTS

25 INVESTMENT PROPERTY (CONTD..)

25.3 Fair value of the investment property

As at 31st March,

Locations of the land & Building	Valuer's name and report date	Total extent	2025		2024	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Lot 05, Dangahahena Land, Anamaduwa Road, Andigama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 11th November 2022	01A-0R-39.04 P (0.09965 Ha)	12,000,000	1,250,000	12,000,000	1,250,000
No 25/20, Kalyani Mawatha, Mabola, Wattala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 10th November 2022	01A-0R-20.93 P	11,000,000	12,453,317	11,000,000	12,453,317
No:21,14th Lane,I,Jothispala Mawatha,Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 10th October 2023	01A-0R-10.00 P (0.0253 Ha)	22,000,000	15,018,703	22,000,000	15,018,703
Lot 1-46 Plan no:3393 at Tembiligaha, Pallegama, Gampola.	D. Jayawardene (Incorporated Valuer) - valuation report dated. 02nd April 2023	02A-02R-15 P	23,000,000	15,064,221	23,000,000	15,064,221
Lot no:1 in Plan no:5644 at Lenadora,Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 04th April 2023	01A-02R-02.60 P (06122 Ha)	51,000,000	16,644,799	51,000,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Welagane, Maspotha,Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 04th April 2023	01A-01R-35.00 P (0.1897 Ha)	57,000,000	46,344,685	57,000,000	46,344,685
Karukottiheevu,Thamputtai 02,Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	10A-01R-05P (4.1602 Ha)	123,000,000	95,236,734	123,000,000	95,236,734
Galapitamillahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	01A-01R-00P (1.4693 Ha.)	28,000,000	25,374,000	28,000,000	25,374,000
No:95,Mallattawela,Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	01A-0R-11.80 P (0.04346 Ha)	15,500,000	5,255,135	15,500,000	5,255,135
Lot No:153B in Plan no:4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	01A-03R-10.00 P (0.325 Ha)	13,000,000	12,103,870	13,000,000	12,103,870
Lot No:1 in Plan no:1520 & Lot no:1 in Plan no:1522, "EVERTON ESTATE", Pothupitiya Road,	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	73A-03R-17.50 P	64,500,000	27,357,720	64,500,000	27,357,720
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2021.	01A-0R-23.52 P	7,500,000	6,016,123	7,500,000	6,016,123
"Kopiawatta" Lot No:A, Plowatta Road, Minuwangoda.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	01A-0R-01.49P (0.4085 Ha.)	55,000,000	55,892,177	55,000,000	55,892,177
No 95/10/6, Godagamawatta, Godagma, Homagama	W.D.Siripala (BSc Estate Management & valuation Fellow Member) Valuation report dated 24th October 2024.	01A-0R-12.76 P	13,000,000	13,992,245	-	-
No 38/7,Subasadaka Mawatha,Beddagana North,Kotte (Manju Trading)	L.P.K. Rasaputhra (BSc Estate Management & valuation - Fellow Member) Valuation report dated 22nd March 2024.	23.50P	94,000,000	88,543,795	-	-
			589,500,000	436,547,524	482,500,000	334,011,484

25 INVESTMENT PROPERTY (CONTD..)

25.4 There are no restrictions on the realisability of the investment property.

There are no contractual obligations to construct or develop investment properties or for repairs, maintenance or enhancements.

25.5 Measurement of fair values

25.5.1 Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, with appropriately recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Company's investment property portfolio once in three years. The fair value of all the properties have been determined based on valuation performed by Mr. D. Jayawardene, W.D Siripala and L.P.K. Rasaputhra Incorporated Valuer, B. Sc. Estate Mgt. & Valuation (Special) A.I.V. (Sri Lanka).

25.5.2 Valuation technique

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant unobservable inputs	Interrelationship between key unobservable input and fair value measurement
Market comparison method - value derived based on recent transactions of similar properties	Per perch value was derived based on similar property values. The value of a perch in the property portfolio ranges from Rs. 400,000 to Rs. 10,000,000 in the Colombo area and Rs. 28,000 to Rs. 400,000 outside the Colombo area	The estimated fair value would increase/(decrease) if: Per perch value was higher / (lesser)
Depreciated replacement cost method	Value per square feet is determined based on similar properties value and depreciated for period used	The estimated fair value would increase / (decrease) if: Depreciation rate for building was lesser / (higher)

26 INTANGIBLE ASSETS

Accounting Policy

The Company's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.

Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful economic lives, amortisation and impairment

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of income in the expense category consistent with the function of the intangible asset. Indefinite-lived intangible assets are not amortized, but are tested for impairment annually or more frequently if events or circumstances indicate the asset may be impaired. Only finite-lived intangible asset is computer software of the Company. There are no indefinite-lived intangible assets which are subject to annual impairment test. amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if appropriate. The Company assumes that there is no residual value for its intangible assets.

26 INTANGIBLE ASSETS (CONT.)

Useful economic lives, amortisation and impairment (Cont.)

Amortisation is calculated using the straight- line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer software - 8 years

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognized.

As at 31st March,

	2025 Rs.	2024 Rs.
Cost		
Balance at the beginning of the year	85,156,917	76,684,042
Additions during the year	11,716,796	8,472,875
Balance at the end of the year	96,873,713	85,156,917
Amortisation		
Balance at the beginning of the year	38,539,469	29,007,816
Charge for the year	10,201,959	9,531,653
Balance at the end of the year	48,741,428	38,539,469
Net book value as at 31st March	48,132,285	46,617,448

- 26.1 There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

27 DUE TO BANKS

Accounting Policy

Due to banks include bank overdrafts and 'interest expenses' in the income statement.

As at 31st March ,

	2025 Rs.	2024 Rs.
Due to banks	50,418,316	47,637,705
	50,418,316	47,637,705

27.1 Underlien Fixed Deposit

A fixed deposit amounting to Rs. 13,174,721 pledged with Sampath Bank PLC as security for an overdraft facility of Rs. 47,000,000 sanctioned in favor of the company. The overdraft facility is repayable on demand and carries an interest.

28 OTHER LIABILITIES

Accounting Policy

Other liabilities include, VAT on financial services payable, crop insurance levy payable, tax payable, accrued expenses payable, and customer related payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

As at 31st March ,

	2025 Rs.	2024 Rs.
VAT on FS payable / (receivable)	14,020,619	(19,969,111)
Customer related payables	748,051,700	536,231,883
Tax payable	11,166,515	12,420,605
Accrued expenses	16,544,458	29,800,850
	789,783,292	558,484,227

29 DIVIDEND PAYABLE

As at 31st March ,

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	475,406	295,751
Proposed final preference share dividend	28,978,958	28,978,958
Returned dividend	1,414	4
Dividend paid during the year	-	(28,799,307)
Balance at the end of the year	29,455,778	475,406

29 DIVIDEND PAYABLE (CONT.)

29.1 Compliance with Sections 56 and 57 of Companies Act No. 07 of 2007

As required by the Section 56 of the Companies Act No. 07 of 2007, the Board of Directors of the Company satisfied the solvency test in accordance with the Section 57, prior to recommending the dividend. A statement of solvency completed and duly signed by the Directors on 17th December 2024 has been audited by external auditor, Messrs. KPMG.

30 INCOME TAX PAYABLE / (RECEIVABLE)

As at 31st March ,

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	17,953,458	(27,593,548)
Income tax expense for the year	198,726,323	47,054,021
Under / (Over) provision for previous year	(44,937,762)	247,115
Taxes paid during the year	(148,421,372)	(247,115)
WHT paid during the year	(6,217,767)	(1,507,015)
Balance at the end of the year	17,102,880	17,953,458

31 FINANCIAL LIABILITIES - OTHER BORROWED FUNDS

Accounting Policy

Other borrowed funds include other long-term and short term loans obtained from banks and Financial Institutions. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised as well as through the EIR amortisation process.

As at 31st March ,

	Note	2025 Rs.	2024 Rs.
Securitised borrowings	31.1	4,033,356,343	4,267,520,832
Bank loans	31.3	5,258,524,266	1,782,974,371
		9,291,880,609	6,050,495,203

31.1 Securitised borrowings

	As at 01.04.2024 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2025 Rs.
Securitisation Loan 38 HNB Bank Trust	627,828,939	-	33,818,459	(661,647,398)	-
Securitisation Loan 41 Peoples Bank Trust	78,825,271	-	1,574,729	(80,400,000)	-
Securitisation Loan 42 Peoples Bank Trust	221,862,917	-	3,693,968	(225,556,885)	-
Securitisation Loan 43 NDB Bank Trust	451,684,056	-	30,484,839	(482,168,895)	-
Securitisation Loan 44 NDB Bank Trust	818,329,952	-	50,418,480	(868,748,432)	-
Securitisation Loan 45 NDB Bank Trust	1,041,103,871	-	57,569,538	(1,098,673,409)	-
Securitisation Loan 46 NDB Bank Trust	1,027,885,826	-	119,831,300	(551,897,984)	595,819,142
Securitization Loan 47 NDB Bank Trust	-	1,725,000,000	198,473,044	(38,208,206)	1,885,264,838
Securitization Loan 48 NDB Bank Trust	-	1,500,000,000	52,272,363	-	1,552,272,363
	4,267,520,832	3,225,000,000	548,136,720	(4,007,301,209)	4,033,356,343

31 FINANCIAL LIABILITIES - OTHER BORROWED FUNDS (CONT.)

31.2 Contractual Maturity Analysis of Securitised Borrowings

As at 31st March,

	2025 Rs.	2024 Rs.
Within next 12 Months	2,610,401,974	3,969,093,002
Between 1-3 Years	1,422,954,369	298,427,830
	4,033,356,343	4,267,520,832

31.3 Bank loans

	As at 01.04.2024 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2025 Rs.
HNB Bank Loan 04	87,560,000	-	4,581,942	(92,141,942)	-
DFCC Vardhana Bank 05	96,467,371	-	7,587,343	(84,761,263)	19,293,451
DFCC Vardhana Bank 06	103,125,000	-	7,933,870	(111,058,870)	-
DFCC Vardhana Bank Revolving Loan	500,000,000	500,000,000	7,617,191	(507,617,191)	500,000,000
Nations Trust Bank Loan 03	100,000,000	-	6,711,754	(106,711,754)	-
NDB Loan 1	249,992,000	-	22,171,695	(147,175,695)	124,988,000
Nations Trust Bank Loan 04	-	500,000,000	41,585,668	(180,474,557)	361,111,111
DFCC Vardhana Bank 07	-	2,000,000,000	134,684,144	(465,714,440)	1,668,969,704
Commercial Bank Loan	-	800,000,000	40,679,334	(121,079,334)	719,600,000
HNB Bank - Loan 5	-	500,000,000	12,326,768	(43,586,768)	468,740,000
Nations Trust Bank Revolving Loan	-	250,000,000	5,038,233	(5,038,233)	250,000,000
Sampath Bank Loan	645,830,000	-	62,768,144	(312,776,144)	395,822,000
NTB Loan 5	-	750,000,000	-	-	750,000,000
	1,782,974,371	5,300,000,000	353,686,086	(2,178,136,191)	5,258,524,266

31.4 Contractual Maturity Analysis of Bank Loans

As at 31st March,

	2025 Rs.	2024 Rs.
Within next 12 Months	2,373,725,258	1,242,870,921
Between 1-5 Years	2,884,799,008	540,103,450
	5,258,524,266	1,782,974,371

NOTES TO THE FINANCIAL STATEMENTS

31 OTHER BORROWED FUNDS (CONT.)

31.5 Loan details

Bank	Balance as at 31st March 2025 (Rs.)	Approved facility (Rs. Mn)	Purpose	Term of the loan	Security	amount for outstanding balance Rs. Mn
Securitisation loan 48	1,552,272,363	1,500	Working capital requirements	36 monthly instalments	Mortgage bond gold loan receivable Rs. 1,950 Mn with collateral margin of 1.3 times	2,018
Securitisation loan 46	595,819,142	1,000	Working capital requirements	24 monthly instalments	Mortgage bond gold loan receivable Rs. 1,336 Mn with collateral margin of 1.3 times	775
Securitisation loan 47	1,885,264,838	1,725	Working capital requirements	36 monthly instalments	Mortgage bond gold loan receivable Rs. 2,242.5 Mn with collateral margin of 1.3 times	2,451
DFCC Bank Loan 05	19,293,451	300	Working capital requirements	48 monthly instalments	Promissory note for Rs. 300 Mn	N/A
Nations Trust Bank Loan 04	361,111,111	500	Working capital requirements	36 monthly instalments	Primary mortgage for Rs. 500 Mn over gold loan receivable portfolio with collateral margin of 1.5 times	542
Samapth Bank Loan	395,822,000	750	Working capital requirements	36 monthly instalments	Primary mortgage for 750 Mn over gold loan receivable portfolio with collateral margin of 1.3 times	515
DFCC Bank Revolving Loan	500,000,000	500	Working capital requirements	Within 03 months	Primary mortgage for Rs. 500 Mn over gold loan receivable portfolio with collateral margin of 1.3 times	650
NDB Loan 1	124,988,000	500	Working capital requirements	48 monthly instalments	Primary mortgage for Rs. 500 Mn over gold loan receivable portfolio with collateral margin of 1.5 times	187
DFCC Bank Loan 07	1,668,969,704	2,000	Working capital requirements	48 monthly instalments	Primary mortgage for Rs. 2000 Mn over gold loan receivable portfolio with collateral margin of 1.3 times	2,170
NTB Bank Loan 5	750,000,000	750	Working capital requirements	36 monthly instalments	Primary mortgage for Rs. 750 Mn over gold loan receivable portfolio with collateral margin of 1.5 times	1,125
HNB Bank Loan 5	468,740,000	500	Working capital requirements	48 monthly instalments	Primary mortgage for Rs. 750 Mn over gold loan receivable portfolio with collateral margin of 1.5 times	703
Commercial Bank Loan 1	719,600,000	800	Working capital requirements	60 monthly instalments	Primary mortgage for Rs. 800 Mn over gold loan receivable portfolio with collateral margin of 1.34 times	964
Nations Trust Bank Revolving Loan	250,000,000	250	Working capital requirements	Within 03 months	Loan agreement for Rs. 750 Mn with collateral margin of 1.5 times	375
	9,291,880,609					

31 OTHER BORROWED FUNDS (CONT.)

31.6 Changes in Liabilities Arising from Financing Activities

Sri Lanka Accounting Standard - LKAS 07 (Statement of Cash Flows), requires an entity to disclose information that enables users of Financial Statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes. Accordingly, changes in liabilities arising from financing activities for the year ended are disclosed below.

As at 31st March 2025,

	Debt Funding from Banks	Debt Instruments Issued and Other Borrowed Funds
	Rs.	Rs.
Balance as at the beginning of the year	1,782,974,371	5,326,251,276
Net cash flows from financing activities	3,121,863,809	8,674,354,216
Net accrual for interest expense	353,686,086	725,248,150
Balance as at the end of the year	5,258,524,266	14,725,853,642
Within 12 months	2,373,725,258	2,608,203,623
After 12 months	2,884,799,008	12,117,650,019
	5,258,524,266	14,725,853,642

31.7 The Company did not have any defaults of principal or interest or other breaches with respect to its borrowed funds during the year ended 31st March 2025 and 31st March 2024.

32 LEASE LIABILITIES

Accounting Policy

At the commencement date of the lease, the Company recognises lease liabilities, measured at present value of lease payments to be made over the lease term. The present value of lease commitments has been calculated using the weighted average incremental borrowing rate.

As at 31st March,

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	219,443,235	199,066,151
Additions during the year	281,692,412	73,021,458
Accretion of interest	58,079,380	42,338,086
Payments made during the year	(101,628,094)	(94,982,460)
Disposals during the year	(15,793,556)	-
Other adjustments during the year	(30,606,059)	-
Balance at the end of the year	411,187,318	219,443,235
Weighted average incremental borrowing rate	11%	15%

32.1 Sensitivity of right of use assets / lease liabilities to key assumption

Sensitivity to incremental borrowing rate

Increase / (decrease) in incremental borrowing rate as at 31st March 2025 by 1%, would have (decreased) / increased the lease liabilities by approximately Rs 11.68 Mn (Rs. 5.1 Mn as at 31st March 2024) with a similar (decrease / increase) in Right-of-use assets. Had the Company increased / (decreased) the incremental borrowing rate by 1%, the Company's profit before tax for the year would have (decreased) / increased by approximately Rs. 1.96 Mn (Rs. 0.034 Mn 31st March 2024).

32.2 Future Minimum Lease Payments (Un discounted)

As at 31st March,

	2025 Rs.	2024 Rs.
Less than one year	118,190,214	92,748,102
Between 1-5 years	334,092,815	204,264,743
More than Five Years	200,112,796	54,500,592
	652,395,825	351,513,437

32 LEASED LIABILITIES (CONT.)

32.3 Maturity Analysis of Lease Liabilities (Discounted)

As at 31st March,

	2025 Rs.	2024 Rs.
Less than one year	59,117,068	62,927,258
Between 1-5 years	201,558,971	125,959,134
More than Five Years	150,511,279	30,556,843
	<u>411,187,318</u>	<u>219,443,235</u>

32.4 Amounts recognised in statement of cash flows in respect of operating lease liabilities during the year ended 31st March 2025 amounts to Rs. 102 Mn (2024 - Rs. 95 Mn).

32.5 Amounts recognized in profit or loss

For the year ended 31st March,

	2025 Rs.	2024 Rs.
Amortization on right of use assets	88,882,377	67,224,605
Interest expense on lease liability	58,079,380	42,338,086
Gain on expiration of operating lease agreements and other adjustment	41,710,997	-
	<u>188,672,754</u>	<u>109,562,691</u>

33 DUE TO CUSTOMERS

Accounting Policy

Due to customers include fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the income statement. Gains and losses are recognized in the income statement when the liabilities are derecognised.

In compliance with the Finance Companies (Insurance of Deposit Liabilities) Direction No. 02 of 2010, all the eligible deposit liabilities have been insured with the Sri Lanka Deposit Insurance and Liquidity Support Scheme, as a safety net measure that will safeguard the customer's rights and confidence. The Company has paid Rs. 25,099,972 as the premium for the above insurance scheme during the year (2024 - Rs. 21,471,434).

As at 31st March,

	2025 Rs.	2024 Rs.
Fixed deposits	19,975,783,755	14,472,621,940
Savings deposits	28,424,646	12,514,226
	<u>20,004,208,401</u>	<u>14,485,136,166</u>

33.1 Contractual Maturity Analysis of due to customers

Less than One Year	15,169,419,075	11,364,046,440
Between One to Five Years	4,834,789,326	3,121,089,726
	<u>20,004,208,401</u>	<u>14,485,136,166</u>

33.2 Deposits amounting to Rs. 538,366,907 (2024 - Rs. 592, 812,733) held as collateral against loans are included under due to customers.

34 DEBENTURE

Accounting Policy

Debentures issued represent the funds borrowed by the Company for long term and short term liquidity fund requirements. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the income statement. Gains and losses are recognised in the income statement when the liabilities are derecognized.

The Company debenture comprises Rs. 1Bn, listed rated, (asset backed), Senior redeemable debentures each worth Rs. 100 issued in August 2021 and with a tenure of 3 years and 5 years. These 3 years debentures outstanding of Rs. 434.75 Mn were settled in August 2024 and the current capital outstanding of the 5 years of Rs. 565.25 Mn debentures will be matured in August 2026. The debentures are listed in the Colombo Stock Exchange.

During the year Company issue debenture worth of Rs. 2 Bn, listed, rated, unsecured senior redeemable debentures each worth Rs. 100 with a tenure of 3 years and 5 years. These debentures are listed in the Colombo Stock Exchange.

The Fitch Rating Agency issued a rating of A+ with a Stable outlook which was announced on 28th Feb 2025.

34 DEBENTURE (CONT.)

As at 31st March,	2025			2024		
	No.	Transaction Cost	Amount	No.	Transaction Cost	Amount
		Rs.	Rs.		Rs.	Rs.
Type A2 Debenture	-	-	-	1,005,100	810,367	106,216,299
Type B2 Debenture	-	-	-	3,342,400	2,695,918	335,619,347
Type C Debenture	15,500	9,339	1,705,251	15,500	9,339	1,655,855
Type D Debenture	5,637,000	4,458,606	606,332,099	5,637,000	4,458,606	615,238,943
Type A Debenture	1,309,800	1,099,543	135,143,696	-	-	-
Type B Debenture	66,000	55,405	6,808,279	-	-	-
Type C Debenture	18,469,900	15,504,994	1,911,943,324	-	-	-
Type D Debenture	154,300	129,531	15,962,232	-	-	-
	25,652,500	21,257,418	2,677,894,881	10,000,000	7,974,230	1,058,730,444

34.1 Interest Rate of the debentures

Instrument Type	Allotment date	Interest Frequency (Fixed Rate)	Coupon rate (% p.a)	Interest yield as at last trade	Yield to maturity as at last trade	Interest rate of comparable Government security
Type C Debenture	20th Aug 21	Annually	9.26%	Not Traded	Not Traded	8.25%
Type D Debenture	20th Aug 21	Annually	14.18%	Not Traded	Not Traded	8.25%
Type A Debenture	18th Dec 24	Annually	12.20%	Not Traded	Not Traded	8.25%
Type B Debenture	18th Dec 24	Semi-Annual	11.85%	Not Traded	Not Traded	8.25%
Type C Debenture	18th Dec 24	Annually	13.00%	Not Traded	Not Traded	8.25%
Type D Debenture	18th Dec 24	Semi-Annual	12.60%	Not Traded	Not Traded	8.25%

34.2 Market price and issue prices of debentures recorded during the year ended 31st March 2025 are as follows:

Instrument Type	Issued Price	Highest Price	Lowest Price	Last Traded Price	Last traded Date
	Rs.	Rs.	Rs.	Rs.	
Type A Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type A2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type C Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type D Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type A Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type C Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type D Debenture	100	Not Traded	Not Traded	Not Traded	N/A

34.3 Movement of the Debenture

As at 31st March,	2025	2024
	Rs.	Rs.
Balance at the beginning of the year	1,058,730,444	2,187,519,137
Issued during the year	2,000,000,000	-
Interest expense on subordinated debt	177,111,430	361,151,772
Settled during the year	(434,750,000)	(1,000,000,000)
Interest paid on subordinated debt	(123,196,993)	(489,940,465)
Balance at the end of the year	2,677,894,881	1,058,730,444

35 RETIREMENT BENEFIT OBLIGATIONS

Accounting Policy

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

The Defined Benefit Plan of an entity is for a retired employee to receive a payment equal to half of the last drawn monthly salary multiplied by the number of completed years of service. However, as per the Statute, the Company is liable to pay gratuity only upon the completion of 5 continuous years of service.

Recognition of actuarial gains and losses

The Company recognises the total actuarial gains and losses that arise in calculating the Company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

Funding arrangements

The gratuity liability is not externally funded.

Defined contribution plans - Employees' Provident Fund

The Company and the employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans - Employees' Trust Fund

The Company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

As at 31st March,

	Note	2025 Rs.	2024 Rs.
Balance at the beginning of the year		39,543,426	45,722,533
Current service cost for the year	35.1	5,911,607	7,177,482
Interest cost for the year	35.1	4,903,385	6,858,380
Actuarial loss / (gain) during the year	35.2	2,348,987	(12,730,464)
Payments made during the year		(2,610,880)	(7,484,505)
Balance at the ending of the year		<u>50,096,525</u>	<u>39,543,426</u>

35.1 Amounts recognized in the profit or loss

Current service cost for the year	5,911,607	7,177,482
Interest cost for the year	4,903,385	6,858,380
	<u>10,814,992</u>	<u>14,035,862</u>

35.2 Amounts recognized in the other comprehensive income

Actuarial loss / (gain) during the year	2,348,987	(12,730,464)
	<u>2,348,987</u>	<u>(12,730,464)</u>

35.3 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31 March, 2025. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Method' recommended by LKAS 19.

35.4 Actuarial assumptions used in calculating the gratuity liability are given below:

<i>As at 31st March ,</i>	Note	2025	2024
Financial Assumptions			
Discount rate		10.0%	12.4%
Salary increment rate	35.4.1	5%	5%
	Age Group		
	20-24	13%	17%
Staff turnover	25 - 49	21%	17%
	50-54	7%	17%
Demographic Assumptions			
Retirement age		60 years	60 years
Mortality		A 1967/70 Mortality Table (Institute of Actuaries, London)	

35 RETIREMENT BENEFIT OBLIGATION (CONT.)

35.4.1 The discount rate used to determine the present value of the defined benefit obligation as at the reporting date was 10% per annum (2024: 12.4% per annum). This rate was determined by reference to the market yield on long-term government bonds as of 31 March 2025, consistent with the estimated average duration of the defined benefit obligation, which is approximately 4.3 years.

As there is no deep market in high-quality corporate bonds in Sri Lanka, the company uses the yield on long-term government securities as the basis for the discount rate, in accordance with paragraph 83 and 144 of LKAS 19.

35.5 An actuarial loss of Rs 2,348,987 was recognized during the year, comprising losses from changes in financial assumptions of Rs.4,316,351 and demographic assumptions Rs.239,976, offset by a gain from experience adjustments of Rs. 2,207,340.

35.6 Sensitivity analysis

The impact arising from the possible changes in the discount rate and salary escalation rates on the gratuity valuation of the Company is as follows;

<i>As at 31st March ,</i>	2025	2024
	Rs.	Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	(1,899,333)	(1,474,616)
Effect on retirement benefit obligation due to 1% decrease	2,063,896	1,594,429
Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	2,014,354	1,806,724
Effect on retirement benefit obligation due to 1% decrease	(1,883,752)	(1,692,927)

35.7 Analysis of retirement benefit obligation by maturity profile

The following note analyses the defined benefit obligation by the expected future working life time of each individual employee. The expected future working life time considers the probability of an employee's exit due to withdrawal, death or disability prior to the retirement date.

<i>As at 31st March ,</i>	2025	2024
	Rs.	Rs.
Within next 12 Months	10,157,871	9,885,856
Between 1-5 Years	28,505,787	15,817,370
Beyond 5 years	11,432,867	13,840,200
	50,096,525	39,543,426

35.8 Weighted Average Duration of the Defined Benefit Obligation : 4.3 years (2024 - 4.3 years)

35.9 For the year ending 31 March 2026, the Company expects to contribute approximately Rs. 12,000,000 toward its defined benefit obligations. This includes both benefit payments to retirees and additional provision for current service costs.

36 STATED CAPITAL

Accounting Policy

The Company maintains an actively managed capital base to cover the risks inherent to the business and is meeting the capital adequacy requirements of the Central Bank of Sri Lanka. The adequacy of the Company's capital is monitored using, among other measures, the rules and ratios established by the Central Bank of Sri Lanka .

<i>As at 31st March ,</i>	2025		2024	
	No.	Rs.	No.	Rs.
Ordinary shares (fully paid)	124,195,533	1,791,478,691	124,195,533	1,791,478,691
Preference shares	41,398,511	413,985,110	41,398,511	413,985,110
	165,594,044	2,205,463,801	165,594,044	2,205,463,801

36.1 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

These convertible, irredeemable preference shares to be deemed converted to ordinary shares, immediately upon the completion of five years from the date of issue and to be listed subsequently. As such, these shares are considered as a part of equity.

37 STATUTORY RESERVE FUND AND OTHER RESERVES

As at 31st March ,

	Note	2025 Rs.	2024 Rs.
Statutory reserve fund	37.1	296,197,809	207,969,075
General reserve	37.2	3,000,000	3,000,000
Regulatory loss allowance reserve	37.3	56,083,254	124,468,915
Revaluation reserve fund	37.4	31,762,504	30,457,762
		<u>387,043,567</u>	<u>365,895,752</u>

37.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (ii) of the Finance Companies (Capital Funds) Direction No. 1 of 2003. The Company transfers a sum equal to not less than twenty (20) per cent of the net profits; so long as the capital funds are less than twenty five (25) per cent of total deposit liabilities, but not less than ten (10) per cent .

37.2 General reserve

General reserve represents the amounts set aside by the directors for general application.

37.3 Regulatory loss allowance reserve

Statutory reserve fund is a reserve which contains profits transferred as required by Section 7.1.3 of the Finance Companies Classification and Measurement of Credit Facilities Direction No. 1 of 2020.

37.4 Revaluation reserve

The Revaluation Reserve represents the cumulative gains arising from the revaluation of property, plant and equipment to fair value, net of any related deferred tax effects. These revaluation gains are recognized in other comprehensive income and accumulated under equity in accordance with LKAS 16 – Property, Plant and Equipment.

The reserve is not available for distribution to shareholders as dividends.

The purpose of the revaluation reserve is to reflect the fair value adjustments to assets that are measured using the revaluation model rather than the cost model. It ensures that such unrealized gains are clearly separated from retained earnings, and it supports transparency in financial reporting.

38 EARNINGS PER SHARE

Accounting Policy

Basic EPS is calculated by dividing the profit for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of dilutive potential ordinary shares into ordinary shares.

38.1 Basic earnings per share

The following reflects the income and share data used in the basic earnings per share computation.

<i>For the year ended 31st March ,</i>	2025	2024
Amounts used as the numerator		
Profit attributable to ordinary shareholders for basic earnings per share (Rs.)	441,143,670	344,186,703
Amounts used as the denominator		
Weighted average number of ordinary shares in issue	124,195,533	124,195,533
Basic earnings per share (Rs.)	<u>3.55</u>	<u>2.77</u>

38 EARNINGS PER SHARE (CONT.)

38.2 Diluted earnings per share

The following reflects the income and share data used in the diluted earnings per share computation.

For the year ended 31st March ,

	Note	2025 Rs.	2024 Rs.
Amounts used as the numerator			
Profit attributable to ordinary shareholders for basic earnings per share		441,143,670	344,186,703
Number of ordinary shares used as denominator for basic earnings per share			
Adjusted weighted average number of ordinary shares in issue	38.2.1	177,544,130	177,544,130
Diluted earnings per share (Rs.)		2.48	1.94

38.2.1 Adjusted weighted average number of ordinary shares in issue

Weighted average number of ordinary shares in issue before dilution		124,195,533	124,195,533
Number of ordinary shares in convertible preference shares	38.2.1.1	53,348,597	53,348,597
Adjusted weighted average number of ordinary shares in issue		177,544,130	177,544,130

38.2.1.1 Number of ordinary shares in convertible preference shares

The Preference Shares would be deemed converted immediately upon the completion of Five (05) years from the date of issue, namely 10th August 2026 (via a Private Placement). The Convertible Price shall be Rs. 7.76.

38.3 Net assets value per share

As at 31st March ,

	2025 Rs.	2024 Rs.
Total Equity attributable to ordinary shareholders	3,778,819,489	3,365,417,594
Number of ordinary shares as at the year end	124,195,533	124,195,533
Net assets value per share	30.43	27.10

39 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting Policy

Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard, LKAS 37 - 'Provisions, Contingent Liabilities and Contingent Assets'. In the normal course of business, the Company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

As at 31st March ,

	Note	2025 Rs.	2024 Rs.
Commitments			
Promissory note to DFCC Bank PLC loans	39.1	300,000,000	300,000,000
Bank guarantee	39.2	2,500,000	70,308,228
Capital commitments	39.3	129,000,000	7,598,555
		431,500,000	377,906,783

39.1 Promissory notes

The related loan balances on issued promissory notes as at the reporting date.

	Promissory note value Rs.	Loan outstanding Rs.
DFCC Bank Loan 05	300,000,000	19,293,451
	300,000,000	19,293,451

39 CONTINGENT LIABILITIES AND COMMITMENTS (CONT.)

39.2 Bank Guarantee

Purpose	Issue Bank	Bank Guarantee No	Period	As at 31 March	
				2025 Rs.	2024 Rs.
Tax appeal	NDB Bank	LG/G24/0439	From 23rd January 2024 up to 22nd January 2025	-	1,051,182
Tax appeal	NDB Bank	LG/G24/0440	From 23rd January 2024 up to 22nd January 2025	-	2,716,302
Foreign Currency Buying and Selling	Sampath Bank	398720220010	From 15th May 2023 up to 14th May 2024	2,500,000	2,500,000
Tax appeal	NDB Bank	LG/G24/0436	From 23rd January 2024 up to 22nd January 2025	-	56,439,716
Tax appeal	NDB Bank	LG/G24/0438	From 23rd January 2024 up to 22nd January 2025	-	2,813,633
Tax appeal	NDB Bank	LG/G24/0437	From 23rd January 2024 up to 22nd January 2025	-	4,787,395
				2,500,000	70,308,228

39.3 Capital Commitments

The Company has implemented several IT enhancements to improve its overall operations. One of the key enhancements is the development of a mobile application that is linked with the core banking solution. This app enables customers to access their accounts and perform banking transactions on the go. The Company has also implemented IT security enhancements to safeguard its data from cyber threats. These include advanced firewalls, intrusion detection systems, and encryption technologies. Capital commitments amounting to Rs. 129,000,000/- includes the cost committed to implement a customer digital onboarding mechanism using mobile based interface to provide a cutting edge digital experience to the customers.

40 LITIGATIONS & CLAIMS

Litigation is a common occurrence in the finance industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. In respect of pending legal claims where the Company has already made provisions for possible losses in the Financial Statements or has a realisable security to cover the damages are not included below as the Company does not expect cash outflows from such claims. However, further adjustments are made to the Financial Statements if necessary on the adverse effects of legal claims based on the professional advice obtained on the certainty of the outcome and also based on a reasonable estimate. Given below are the unresolved legal claims against the Company as at 31st March 2025 for which, adjustments to the Financial Statements have not been made due to the uncertainty of its outcome. The Company's legal counsel is of the opinion that litigation which is currently pending, will not have a material impact on the reported financial results or future operations of the Company.

As at 31st March,

	2025 Rs.	2024 Rs.
Cases pending against the Company	241,030,222	460,756,723

41 CONTINGENT LIABILITIES

Except for the contingent liabilities disclosed above, the Company does not have any other significant contingent liabilities as at the reporting date.

42 ASSETS PLEDGED

The assets pledged as securities for liabilities have been disclosed under Note 31.5.

43 MATURITY ANALYSIS

The table below summarises the maturity profile of the undiscounted cash flows of the Company's Financial assets and liabilities as at 31 March 2025.

Assets	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Cash and cash equivalents	3,150,043,244	-	-	-	3,150,043,244
Other financial assets at amortized cost	632,567,497	2,254,530,682	-	66,230,400	2,953,328,579
Financial assets at amortised cost - loans and advances	14,525,201,503	12,667,243,509	6,099,690,956	2,923,195,923	36,215,331,891
Financial assets - fair value through other comprehensive income	-	-	-	300,000	300,000
	<u>18,307,812,244</u>	<u>14,921,774,191</u>	<u>6,099,690,956</u>	<u>2,989,726,323</u>	<u>42,319,003,714</u>
Liabilities					
Due to banks	50,418,316	-	-	-	50,418,316
Dividend Payable	29,455,778	-	-	-	29,455,778
Financial liabilities - other borrowed funds	1,971,149,206	3,175,676,625	4,582,279,002	696,938,819	10,426,043,652
Lease liabilities	30,347,624	87,842,590	204,356,063	329,849,548	652,395,825
Due to customers	6,160,066,351	9,299,904,449	5,084,651,874	896,564,292	21,441,186,966
Debenture	1,363,140	337,527,590	1,539,237,500	2,348,219,290	4,226,347,520
	<u>8,242,800,416</u>	<u>12,900,951,254</u>	<u>11,410,524,439</u>	<u>4,271,571,949</u>	<u>36,825,848,058</u>
Net amount	<u>10,065,011,828</u>	<u>2,020,822,937</u>	<u>(5,310,833,483)</u>	<u>(1,281,845,626)</u>	<u>5,493,155,656</u>

44 CURRENT / NON-CURRENT ANALYSIS

As at 31st March,

	2025		2024	
	Within 12 months Rs.	After 12 months Rs.	Within 12 months Rs.	After 12 months Rs.
Assets				
Cash and cash equivalents	3,150,043,244	-	3,150,043,244	1,383,706,511
Other financial assets at amortized cost	2,781,542,285	64,958,743	2,846,501,028	4,194,974,600
Financial assets at amortised cost - loan and advances	22,610,005,026	6,547,072,055	29,157,077,081	13,844,128,176
Other non financial assets	100,247,493	78,145,950	178,393,443	112,316,207
Advances, deposits and prepayments	13,111,200	186,238,006	199,349,206	66,423,925
Financial assets - fair value through other comprehensive income	-	300,000	300,000	-
Right-of-use assets	85,765,366	305,065,111	390,830,477	35,362,520
Property, plant and equipment	1,951,650	708,503,538	710,455,188	-
Investment property	-	425,274,403	425,274,403	101,242,366
Deferred tax assets	-	-	-	38,550,183
Intangible assets	7,998	48,124,287	48,132,285	-
Total assets	28,742,674,262	8,363,682,093	37,106,356,355	19,776,704,488
Liabilities				
Deferred tax liabilities	5,508,866	-	5,508,866	-
Due to banks	50,418,316	-	50,418,316	-
Other liabilities	789,783,292	-	789,783,292	-
Dividend Payable	29,455,778	-	29,455,778	-
Financial liabilities -Other borrowed funds	4,559,449,705	4,732,430,904	9,291,880,609	4,911,728,407
Lease liabilities	59,117,068	352,070,250	411,187,318	41,622,532
Debenture	(2,198,352)	2,680,093,233	2,677,894,881	494,290,164
Due to customers	15,169,419,076	4,834,789,325	20,004,208,401	11,364,046,440
Retirement benefit obligation	10,157,871	39,938,654	50,096,525	9,885,856
Income tax payable	17,102,880	-	17,102,880	17,953,458
Total liabilities	20,688,214,500	12,639,322,366	33,327,536,866	17,446,124,195
Net balance	8,054,459,762	(4,275,640,273)	3,778,819,488	2,330,580,292
				1,034,837,301
				3,365,417,594

45 FINANCIAL REPORTING BY SEGMENT

As per the provisions of Sri Lanka Financial Reporting Standard, SLFRS- 8, the operating segment of the Company have been identified based on the product and services offered by the Company of which level of risk and rewards is significantly different from one another. Top management of the Company considers the operating results and condition of its business segments in their decision making process and performance evaluation. Types of products and services from which each operating segment derives its revenues are described as follows.

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components. All operating segments' operating results are reviewed regularly by the Senior Management to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Senior Management Personnel and the Board of Directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Types of products and services from which each operating segment derives its revenues described as follows;

Finance Lease - This segment includes leasing and hire purchase products offered to the customers.

Gold Loans - This segment includes gold loan products offered to the customers

Investment - This segment includes treasury investments.

Loans and advances - This segment includes loan products offered to the customers other than the above segments.

	Finance lease		Gold loans		Other loans and advances		Investment		Total	
	2025 Rs. 000	2024 Rs. 000	2025 Rs. 000	2024 Rs. 000	2025 Rs. 000	2024 Rs. 000	2025 Rs. 000	2024 Rs. 000	2025 Rs. 000	2024 Rs. 000
Interest income	112,139	50,619	4,298,397	4,046,372	1,028,019	521,252	534,306	1,016,665	5,972,861	5,634,908
Other income	7,677	52,534	526,754	657,741	393,265	228,763	269	180	927,965	939,218
Total revenue	119,816	103,153	4,825,151	4,704,113	1,421,284	750,015	534,575	1,016,845	6,900,826	6,574,126
Segmental result	16,243	7,731	654,115	340,646	192,675	56,181	72,469	73,634	935,502	478,192
Interest Expenses	(76,630)	(45,706)	(2,029,559)	(2,423,660)	(676,820)	(809,918)	(572,383)	(971,124)	(3,355,392)	(4,250,408)
Depreciation and Amortization	(4,263)	(1,563)	(112,902)	(82,859)	(37,655)	(27,689)	(31,841)	(33,200)	(186,661)	(145,311)
Impairment charge for loans and other losses	76,631	(21,712)	(162,312)	338,145	(634,793)	188,606	-	-	(720,474)	(505,039)
Taxes on Financial Services	(6,844)	(1,126)	(181,268)	(59,704)	(60,458)	(19,952)	(51,122)	(23,923)	(299,692)	(104,705)
Profits from operations	14,520	4,016	384,567	212,970	128,266	71,168	108,457	85,334	635,810	373,488
Income tax Expense	(4,446)	(315)	(117,743)	(16,708)	(39,271)	(5,583)	(33,206)	(6,695)	(194,666)	(29,301)
Net profit for the year	10,074	3,701	266,824	196,262	88,995	65,585	75,251	78,639	441,144	344,187
Segment assets	802,812	265,619	21,262,561	14,085,060	7,091,704	4,706,829	5,996,544	5,643,672	35,153,621	24,701,180
Unallocated assets	-	-	-	-	1,952,735	1,142,137	-	-	1,952,735	1,142,137
Total assets	802,812	265,619	21,262,561	14,085,060	4,706,829	5,848,966	5,996,544	5,643,672	37,106,356	25,843,317
Segment liabilities	731,349	232,723	19,369,862	12,340,660	6,460,432	4,123,900	5,462,759	4,944,717	32,024,402	21,642,000
Unallocated liabilities	-	-	-	-	1,303,135	835,899	-	-	1,303,135	835,899
Total liabilities	731,349	232,723	19,369,862	12,340,660	7,763,567	4,959,799	5,462,759	4,944,717	33,327,537	22,477,899

45 FINANCIAL REPORTING BY SEGMENT (CONT.)

<i>For the year ended 31st March,</i>	Finance lease		Gold Loan		Loans and advances		Investment		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash generated from / (used in) operations	(88,742)	25,680	(2,350,349)	1,361,745	(783,912)	455,057	(662,854)	545,631	(3,885,857)	2,388,113
<i>Unallocated cash flows</i>										
Property, plant and equipment	-	-	-	-	(390,151)	(63,018)	-	-	(390,151)	(63,018)
Intangible assets	-	-	-	-	88,882	67,225	-	-	88,882	67,225
Other expenditure	-	-	-	-	(167,284)	(28,353)	-	-	(167,284)	(28,353)
Net cash generated from / (used in) operations	(88,742)	25,680	(2,350,349)	1,361,745	(1,252,465)	430,911	(662,854)	545,631	(4,354,410)	2,363,967
Net cash generated from / (used in) investing activities	32,268	(19,529)	854,623	(1,035,562)	285,043	(346,056)	241,024	(414,934)	1,412,958	(1,816,081)
Net cash generated from / (used in) financing activities	107,449	(13,669)	2,845,809	(724,852)	949,163	(242,225)	802,585	(290,437)	4,705,006	(1,271,183)
Net increase / (decrease) in cash and cash equivalents	50,975	(7,518)	1,350,083	(398,669)	(18,259)	(157,370)	380,755	(159,740)	1,763,554	(723,297)

45.1 In determining segment results, expenses have been allocated on proportionate basis on interest income and the segment liabilities have been proportionately allocated based on segment assets. The Company functions in one geographic location. Accordingly, geographic information is not presented in these financial statements.

46 RELATED PARTY DISCLOSURES

As per the Sri Lanka Accounting Standard - LKAS -24 "Related Party Disclosures", the KMPs include those who have the authority and responsibility for planning, directing and controlling the activities of the Company. Accordingly, the Board of Directors of the Company, Immediate parent Company and members of the Corporate Management of the Company have been classified as KMPs of the Company. The Company carries out transactions with KMPs and their close family members in the ordinary course of its business on an arms length basis at commercial rates. Close family members of KMPs are those family members who may be expected to influence, or be influenced by, those KMPs in their dealing with the entity. During the period under review there were no non-recurrent related party transactions which exceeded 10% of the equity or 5% of the total assets, whichever is lower, in the Company. During the period under review, there were no recurrent related party transactions which exceeded 10% of the gross revenue/income.

The Company carries out transactions in the ordinary course of its business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

46.1 Parent and ultimate controlling party

The ultimate parent of the Company as at 31st March 2025 is Muthoot Finance Limited.

46.2 Transactions with related entities

46.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

For the Year ended 31 March,

	2025 Rs.	2024 Rs.
Transactions during the year		
Expenses incurred for Muthoot Finance Limited	-	1,316,741

46.3 Transactions with key management personnel of the Company

The key managerial personnel of the Company are the members of its Board of Directors and the parent Company. The following transactions were entered into between the Company and its key management personnel and their close family members.

For the year ended 31st March ,

	2025 Rs.	2024 Rs.
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46.3.1 Key management personnel compensation

Short-term employment benefits paid - Directors	26,139,400	23,040,164
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46.3.2 Other transactions with key management personnel

(a) Items in the Statement of Financial Position

	Board of Directors		Key Management Personnel	
	2025	2024	2025	2024
Assets - loan and advances	1,970,704	2,933,153	7,221,455	5,760,069
Liabilities	148,558,151	25,357,184	100,359,907	80,864,963

(b) Items in the Statement of Income

Interest income	705,925	626,098.47	252,086	70,845
Interest expenses	33,243,658	4,396,385	13,494,600	15,588,771

46.3.3 Accommodation outstanding of the Company's Capital Fund (%)

Loan and advances	0.0005	0.0009	0.0019	0.0017
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46.3.4 Share transactions with key management personnel

Number of ordinary shares held at the year end	34,071	6,000	47,900	26,535
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46.3.5 Senior management personnel compensation

Short-term employment benefits paid to Senior Management	47,464,000	61,738,556
Post-employment benefits	29,585,318	23,417,373

47 RISK MANAGEMENT

As a financial institution, the Company is exposed to various types of risks including credit, market, liquidity and operational risks which are inherent to the Company's activities. Managing these risks is critical for the sustainability of the Company and plays a pivotal role in all activities of the Company. The Company has developed a culture within the organisation, which shapes and influences the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the Company's management will be reviewed regularly through its committees and reported to the "Integrated risk management committee" for reference and guidance. The Company believes that successful risk management will enable it to be resilient to any unfavourable event caused by internal or external factors.

47.1 Market risk

The Company defines market risk as the potential loss resulting from changes in market variables such as interest rates, gold prices, foreign exchange rates, and macroeconomic conditions. These risks affect earnings and cash flows through adverse movements in financial markets. The Company is exposed to various aspects of market risk, primarily through interest rate fluctuations in both trading and non-trading books, and through gold price and foreign exchange volatility linked to its gold portfolio.

47.1.1 Commodity Price Risk

Commodity price risk refers to the uncertainties of future market values and of the size of the future income, caused by the fluctuation in the prices of commodities. Given the significance of the Gold Loans business to Compnay's overall loan book, sharp fluctuations to the gold prices could have an adverse impact to earnings. Gold price fluctuations lead to market risk which is the primary source of credit risk associated with this product.

Shorter product life: The Company's credit risk management strategy lends for shorter periods allowing it to initiate its recovery process faster

Frequent revisions to Loan-to-Value (LTV) Ratio: Company practices a process of revising advance offered per gold sovereign to reflect market value fluctuations to maintain the desired healthy Loan to Value Ratio.

Timely auction of gold stocks : The gold stock of defaulted facilities are auctioned on frequent basis, avoiding pilling up of gold stock which would lead to larger losses at a sudden drop in the gold prices.

47.2 Risk management committees

47.2.1 Assets and liability committee (ALCO)

ALCO is chaired by the Chief Executive Officer and its representatives are the Chief Operating Officer, General Manager, the Chief Manager - Finance, the Deputy General Manager Marketing and Operation the Deputy General Manager - Treasury and the Deputy General Manager-Fixed Deposit. The committee meeting is held once a month to monitor and manage the assets and liabilities of the Company and the overall liquidity position to keep the Company's liquidity at healthy levels whilst satisfying regulatory requirements.

47.2.2 Board Audit Committee (BAC)

Audit committee has set up internal audit teams to ensure that the guidelines and processes in the business operations are adhered to in compliance with the policy and procedures. Internal audit plan covers the full scope of the business operations and reports to the BAC on continuous improvements required for the risk management frame work. BAC will oversee financial reporting, Risk Management and Internal controls.

47.2.3 Integrated Risk Management.

IRMC established by the BOD is to evaluate and protect the Company from financial and non-financial losses. IRMC meets and discuss the risk framework of AAF on a monthly basis. IRMC will guide the management to navigate risk events, scenarios depending on this risk appetite of the Board in order to ensure that the overall business strategy is achieved and the stakeholders of the Company receive the maximum returns. IRMC strives to improve the risk culture of AAF policies and procedures, technological advancements and training.

47 RISK MANAGEMENT (CONT.)

47.3 Capital Management

The Company's capital management is performed primarily considering regulatory capital. The Company's lead regulator, the Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for the Company. The Company is required to comply with the provisions of the Finance Companies (Capital Funds) Direction No.01 of 2003, Finance Companies (Capital Adequacy Requirements) Direction No. 03 of 2018 and Finance Companies (Minimum Core Capital) Direction No. 02 of 2017 in respect of regulatory capital.

The Company's regulatory capital consists of tier 1 capital, which includes ordinary share capital, retained earnings and statutory reserves. Other negative reserves are included under prudence basis. Tier II capital includes unsecured subordinated debentures, which is included in the capital base consequent to obtaining the approval of CBSL. The Company's policy is to maintain a strong capital base so as to ensure investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Company recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

As per Finance Business Act Directions No. 3 of 2018, regulatory capital consists of Tier 1 capital, which comprises stated capital, statutory reserved fund, retained earnings including current year profit and general and other reserves less the goodwill, other intangible assets, other comprehensive income losses, deferred tax assets, shortfall of the cumulative impairment to total provisions and interest in suspense and 50% of investment in banking and financial companies.

As per the Finance Business Act Direction No. 3 of 2018, the Licensed Finance Companies (LFCs) with assets of less than Rs. 100 Bn required to maintain a minimum Capital Adequacy Ratio (CAR) of 12.5% and a Core Capital Ratio (Tier I) of 8.5% by 01st July 2022.

As of 31st March 2025, the Company has maintained Risk Weighted Capital Adequacy Ratios above the CBSL's minimum capital requirements.

Components of Capital As at 31st March,

	2025		2024	
	%		%	
	Actual		Actual	
Tier 1 Capital	29.46		21.22	
Tier 2 Capital	29.25		20.87	
Total Risk Weighted Assets Rs. Bn	9,622		12,101	
	Actual	Required	Actual	Required
Tier 1 Capital Ratio / Core capital ratio	29.46	8.5	21.22	8.5
Total Capital Ratio / Total risk weighted capital ratio	29.25	12.5	20.87	12.5

47 RISK MANAGEMENT (CONT.)

47.4 Management of Market Risk

The Company separates its exposure to market risk between trading and nontrading portfolios. Trading portfolio includes financial assets and liabilities that are managed on a fair value basis. A. Non trading portfolio is managed in accordance with the purpose and strategic benefits of such investments, rather than purely on fair value basis. The following table sets out the allocation of assets and liabilities subject to market risk between trading and non-trading portfolios.

As at 31st March,

		2025		
Note	Carrying Amount	Market Measurement Risk		
		Trading Portfolio	Non Trading Portfolio	
Assets subject to market risk				
17	3,150,043,244	-	3,150,043,244	
18	2,846,501,028	2,128,126,318	718,374,710	
19	29,157,077,081	-	29,157,077,081	
22	300,000	-	300,000	
	<u>35,153,921,353</u>	<u>2,128,126,318</u>	<u>33,025,795,035</u>	

Liabilities subject to market risk

Financial liabilities - due to banks	27	50,418,316	-	50,418,316
Financial liabilities - other borrowed funds	31	9,291,880,609	-	9,291,880,609
Due to customers	33	20,004,208,401	-	20,004,208,401
Debenture	34	2,677,894,881	2,677,894,881	-
		<u>32,024,402,207</u>	<u>2,677,894,881</u>	<u>29,346,507,327</u>

As at 31st March,

		2024	
		Market Measurement Risk	
		Carrying Amount	Non Trading Portfolio
		Trading Portfolio	
Assets subject to market risk			
Cash and cash equivalents	17	1,383,706,511	-
Other financial assets at amortized cost	18	4,259,458,514	1,755,472,300
Financial assets at amortised cost - loans and advances	19	19,057,508,451	-
Financial assets - fair value through other comprehensive income	22	506,659	-
		24,701,180,135	1,755,472,300
Liabilities subject to market risk			
Financial liabilities - due to banks	27	47,637,705	-
Financial liabilities - other borrowed funds	31	6,050,495,203	-
Due to customers	33	14,485,136,166	-
Debenture	34	1,058,730,444	1,058,730,444
		21,641,999,518	1,058,730,444
			20,583,269,074

47 RISK MANAGEMENT (CONT.)

47.4 Management of Market Risk (Cont.)

47.4.1 Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance

47.4.2 Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims. Liquidity risk arises through maturity mismatch of loans and deposits.

In compliance with Finance Companies (Liquid Assets) Direction No: 4 of 2013 which shall not as the close of the business on any day, be less than the total of;

- (a) 10% of the outstanding value of the time deposits and accrued interest payable at the close of the business on such day and
- (b) 15% of outstanding value of the saving deposit and accrued interest payable at the close of the business on such day and
- (c) 10% of the total outstanding borrowings

The Company shall maintain liquid assets in the form of Sri Lankan government Treasury Bills and Government securities equivalent to 7.5% of the average of its month end total deposit liabilities and borrowings of the 12 months preceding financial year.

As at 31st March ,

Total liquid assets

Cash in hand
Balances in current accounts
Deposits in commercial banks
Treasury bills and treasury bonds

	2025	2024
	Rs.	Rs.
	261,535,809	158,229,824
	251,157,349	90,964,848
	2,592,114,695	1,071,106,318
	2,063,167,575	1,690,988,386
	<u>5,167,975,428</u>	<u>3,011,289,376</u>
	<u>5,167,975,428</u>	<u>3,011,289,376</u>
	<u>2,210,713,250</u>	<u>1,458,591,841</u>

Available liquid assets
Required liquid assets

Liquid assets to deposit (%)
Advances to deposit (%)
Advances to deposit (Times)

	0.26	0.21
	157%	142%
	1.566	1.420

47 RISK MANAGEMENT (CONT.)

47.4 Management of Market Risk (Cont.)

47.4.3 Financial Assets Available for Future Funding

The total financial assets recognised in the Statement of Financial Position as at 31 March 2025 and 2024 that can be used for the future funding is shown in the following tables;

As at 31st March 2025

	Encumbered	Uncumbered		Total
	Pledged as Collateral	Available as Collateral	Other	
Cash and cash equivalents	15,780,364	767,553,090	2,366,709,791	3,150,043,245
Other financial assets at amortized cost	-	2,846,501,028	-	2,846,501,028
Financial assets at amortised cost - loans and advances (Gross)	12,474,115,128	16,330,135,820	2,530,038,521	31,334,289,469
Financial assets measured at fair value through other comprehensive income	-	-	300,000	300,000
Total	12,489,895,492	19,944,189,939	4,897,048,312	37,331,133,742

As at 31st March 2024

	Encumbered	Uncumbered		Total
	Pledged as Collateral	Available as Collateral	Other	
Cash and cash equivalents	-	1,059,328,427	324,378,084	1,383,706,511
Other financial assets at amortized cost	-	4,259,458,514	-	4,259,458,514
Financial assets at amortised cost - loans and advances (Gross)	8,610,700,000	9,478,732,129	2,475,223,880	20,564,656,009
Financial assets measured at fair value through other comprehensive income	-	-	506,659	506,659
Total	8,610,700,000	14,797,519,070	2,800,108,623	26,208,327,693

47.5 Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss, as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. The uncertainty caused by the current economic crisis could lead to increased pressure on the local currency resulting in higher foreign exchange risk. However, since Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions, the Company concludes that negative impact on economic crisis will not be substantial on the Company to conduct an in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

47.6 Sensitivity analysis interest rate risk

The following table demonstrates the sensitivity of the Net Interest margin on a 100 basis point (1%) increase or decrease in market interest rates, assuming all other variables remain constant:

As at 31st March

	2025		2024	
	Parallel Increase 100 bps	Parallel Decrease 100 bps	Parallel Increase 100 bps	Parallel Decrease 100 bps
Annual Impact	259,494,727	(259,494,727)	200,214,784	(200,214,784)

47 RISK MANAGEMENT (CONT.)

47.7 Foreign Currency Risk Sensitivity

As the Company holds balances in foreign currencies (e.g., USD, EUR), the following table demonstrates the sensitivity to a reasonably possible change in exchange rates, with all other variables held constant, of the Company's profit before tax.

As at 31st March 2025

Type of the Currency	Outstanding Balance	Exchange rate as at the year end	Increase / (decrease) in exchange rates	Effect on PBT (Rs.)
USD	39,771	296	(+) 5% (-) 5%	589,301 (589,301)
AUD	50	187	(+) 5% (-) 5%	466 (466)
CAD	20,765	207	(+) 5% (-) 5%	214,997 (214,997)
EUR	510	320	(+) 5% (-) 5%	8,156 (8,156)
GBP	220	384	(+) 5% (-) 5%	4,222 (4,222)

As at 31st March 2024,

USD	39,088	299	(+) 5% (-) 5%	588,895 (588,895)
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47.8 Interest rate risk

Interest rate risk arises from fluctuations in market interest rates that affect the value and cash flows of financial instruments. The Company manages this risk through a balanced mix of fixed and variable rate borrowings and by offering products with varied maturities across Gold, Mortgage, and Leasing portfolios. Risk is assessed using techniques such as Maturity Gap Analysis, Value at Risk and Earnings at Risk, with rate-sensitive assets and liabilities categorized into time buckets to evaluate exposure.

47 RISK MANAGEMENT (CONT.)

47.8.1 Interest Rate Exposure on Financial Assets and Liabilities

The table below analyses the Company's interest rate risk exposure on non-trading financial assets and liabilities. The Company's assets and liabilities are included at the carrying amount and categorised by the earlier of contractual re pricing or maturity dates.

		2025				
	Carrying amount	On demand	Less than 3 months	3 to 12 months	1 to 3 years	3 to 5 years
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and cash equivalents	3,150,043,244	3,150,043,244	-	-	-	-
Other financial assets at amortized cost	2,846,501,028	-	678,033,296	2,103,508,989	-	64,958,743
Loans and advances - amortized cost	29,157,077,081	809,418,280	12,786,662,750	9,017,796,804	2,412,225,915	4,058,337,339
Financial assets - fair value through other comprehensive income	300,000	-	-	-	-	300,000
Total	35,153,921,353	3,959,461,524	13,464,696,046	11,121,305,793	2,412,225,915	4,123,296,082
Liabilities						
Due to banks	50,418,316	50,418,316	-	-	-	-
Due to customers	20,004,208,401	28,424,646	6,428,836,180	8,712,158,250	4,259,894,109	574,895,216
Debenture	2,677,894,881	-	(83,040,976)	80,842,625	748,135,330	1,931,957,902
Financial liabilities - other borrowed funds	9,291,880,609	-	1,763,565,990	2,795,883,715	4,220,014,524	512,416,380
Lease liabilities	411,187,318	-	14,592,816	44,524,252	120,490,932	222,561,103
Total	32,435,589,525	78,842,962	8,123,954,010	11,633,408,842	9,348,534,895	3,241,830,601
Total interest sensitivity gap	2,718,331,828	3,880,618,562	5,340,742,036	(512,103,049)	(6,936,308,980)	881,465,481
						63,917,778

47 RISK MANAGEMENT (CONT.)

47.8 Interest rate risk (Cont.)

47.8.1 Interest Rate Exposure on Financial Assets and Liabilities (Cont.)

As at 31st March,

Assets

	Carrying amount Rs.	On demand Rs.	Less than 3 months Rs.	3 to 12 months Rs.	1 to 3 years Rs.	3 to 5 years Rs.	Over 5 years Rs.
Cash and cash equivalents	1,383,706,511	1,383,706,511	-	-	-	-	-
Other financial assets at amortized cost	4,259,458,514	-	2,410,978,810	1,783,995,791	-	64,483,913	-
Financial assets at amortised cost - loans and advances	19,057,508,451	909,597,432	8,748,092,388	4,186,438,313	4,329,676,747	835,456,933	48,246,638
Financial assets - fair value through other comprehensive income	506,659	-	-	-	-	-	506,659
Total	24,701,180,135	2,293,303,943	11,159,071,198	5,970,434,104	4,329,676,747	899,940,846	48,753,297

Liabilities

Due to banks	47,637,705	47,637,705	-	-	-	-	-
Due to customers	14,485,136,166	12,514,226	5,168,395,872	6,183,136,342	2,476,273,363	644,816,363	-
Debtenture	1,058,730,444	-	541,355,685	517,374,760	-	-	-
Financial liabilities - other borrowed funds	6,050,495,203	-	1,838,040,823	3,073,687,585	1,138,766,796	-	-
Lease liabilities	219,443,235	-	10,405,634	31,216,898	84,516,862	84,285,626	9,018,215
Total	21,861,442,753	60,151,931	7,558,198,013	9,805,415,585	3,699,557,021	729,101,989	9,018,215

Total interest sensitivity gap

	2,839,737,382	2,233,152,012	3,600,873,185	(3,834,981,482)	630,119,727	170,838,857	39,735,082
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47.9 Operational risk

Operational risk is the risk of losses arising from failed internal processes, systems failure, human error, fraud or external events. Operational risks exist in the natural course of business activities, products and processes. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or lead to financial loss. Operational risks cannot be fully eliminated. However, the Company's objective is to contain it within the acceptable levels as determined by the Company's Board of Directors. The Company's operational risk management framework clearly articulates the policies, structures and processes in place to manage the different types of operational risk exposures. The Board of Directors, supported by the IRM is responsible for formulating a policy and ensuring the robustness of the operational risk management framework. Loss events are recorded and periodically reported through the Risk Management Unit to the Board of Directors. Meanwhile, Internal Audit also provides assurance to the Board on the effectiveness on the operational risk management processes in place.

47 RISK MANAGEMENT (CONT.)

47.10 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honour its obligations in accordance with the terms of agreement, i.e. the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the “credit risk management” is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution. There are no financial or non financial assets during the period by taking possession of collateral that it holds as security or calling on other credit enhancements.

47.10.1 Settlement risk

The company’s activities may give rise to risk at the time of settlement of transactions. “Settlement risk” is the risk of loss due to the failure of a customer or a counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed.

The Company conducted an in-depth analysis on the probable customers who would get affected and the scale of impact it may have on the Company’s lending portfolio due to the prevailing macro-economic uncertainty and COVID-19 and the related impacts to our customers on account of elevated inflation and interest rates. The Company manages this by diversifying the lending portfolio across a wide range of products and customer segments which in turn would ensure the resilience of the Company in an economic shock of this nature. The Company is comfortable with the existing composition of its loan portfolio and continuous monitoring activities are being carried out to avoid accumulation of exposures to risky segments.

47.10.2 Management of Credit Risk

Board Credit Committee has oversight responsibility for the management of credit. Risk Management Division (RMD) is a separate vertical independent of business units, established to assess the credit risk of credit proposals and submit independent observations to all approving authorities. Other responsibilities of RMD are as follows: - Formulating credit policies and guidelines in consultation with business units covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirements. - Formalise approval of such policies and guidelines from the Board of Directors upon clearance by relevant Board Subcommittees. - Establishing the credit approval structure with delegated authority limits for the approval and renewal of credit facilities. The delegated authority limits are assigned to identified individuals. Larger credit facilities require approval by the Board Credit Committee or the Board of Directors as appropriate.

Setting the risk appetite for exposures to counterparties, geographies and industries (for loans and advances and similar exposures), and by issuer, credit rating band, market liquidity and country (for investment securities). - Providing advice, guidance and specialist skills to business units to promote best practice throughout the Company in the management of credit risk. Identification of elevated risk industries and the adequacy of any overlay adjustment made outside the ECL model, as part of model adjustments to address the potential implications of the prevailing economic conditions. Each business unit is required to implement Company’s credit policies and guidelines, with credit approval authorities delegated from the Board of Directors. Each business unit is responsible for the quality and performance of its credit portfolio and for monitoring and controlling all credit risks in its portfolios. Regular audits of business units and credit processes are undertaken by Internal Audit Division.

47.10.3 Credit Quality Analysis

Collateral and other credit enhancements

The amount and type of collateral required depends on the counterparty credit risk assessment. Guidelines are in place covering the acceptability and valuation of each type of collateral.

The Board Credit Committee holds overall oversight responsibility for the management of credit risk, while the Risk Management Division (RMD) operates as an independent unit, separate from business operations, to assess credit proposals and provide unbiased observations to approving authorities. RMD is responsible for formulating credit policies and guidelines—covering collateral requirements, credit assessments, risk grading, legal and documentary standards, and regulatory compliance—in consultation with business units. These policies are formalized through Board approval after clearance by relevant subcommittees. RMD also establishes the credit approval framework, with delegated authority limits assigned to specific individuals, while larger facilities require Board or Board Credit Committee approval. It defines the Company’s risk appetite across counterparties, sectors, geographies, and asset classes, and advises business units to ensure best practices in credit risk management. RMD further identifies elevated-risk industries and assesses overlay adjustments beyond the Expected Credit Loss (ECL) model, reflecting current economic conditions. Business units are responsible for implementing credit policies, managing the quality of their portfolios, and monitoring credit risk, while regular audits by the Internal Audit Division and RMD ensure ongoing compliance and control.

47 RISK MANAGEMENT (CONT.)

47.10.4 Company's approach to credit risk

Under SLFRS 9: "Financial Instruments: Recognition and Measurement", the AAF assess the impairment of loans and advances individually or collectively based on the principles of "expected credit loss" (Refer Note 19 for details) model which is expected to capture future trends in the economy. However, the regulatory provisions made on loans and advances under Direction No. 01 of 2020 on "Classification and Measurement of Credit Facilities, (and subsequent amendments thereof) issued by the CBSL.

Further, under SLFRS 9, other debt financial assets not held at FVTPL, together with loan commitments and other off balance sheet exposures such as financial guarantees and letter of credits, are subject to impairment provision, whereas no such regulatory provision is required for those financial assets as per the CBSL Direction. As a result, SLFRS 9 recognises higher impairment provisions compared to CBSL guidelines. Financial investments and financial liabilities (other than FVTPL) are carried at "cost" for regulatory reporting purposes while they are classified as "Financial assets measured at fair value through other comprehensive income" carried at fair value or Financial assets/liabilities at amortized cost under SLFRS 9. The "Fair value" is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the

A variety of valuation techniques combined with the range of plausible market parameters as at a given point in time may still generate unexpected uncertainty beyond fair value. An "amortized cost" of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment. Hence, the amortised cost of financial investments and financial liabilities under SLFRS 9 are different to the carrying value for regulatory reporting which is the "cost".

47.10.5 Impairment assessment

The Company considers a financial instrument defaulted and, therefore, stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes more than 90 days past or three instalments in arrears due on its contractual payments or when classified as Non-Performing Loan(NPL) as per directions issued by the Central Bank of Sri Lanka (CBSL).

47.10.6 Individually assessed allowances

The allowance is appropriate for each individually significant loan or advance on an individual basis if there is any objective evidence of a potential loss. Every customer having an aggregate exposure above that limit is individually assessed for objective evidence of incurred loss. Items considered when determining allowance amounts include, the sustainability of the counterparty's business plan, its ability to improve performance, if it is in a financial difficulty, projected receipts and the expected payout should a bankruptcy arise, the availability of other financial support, the realizable value of collateral and the timing of the expected cash flows. Gold Loan individually assesses through Dud and Suspicious articles Low quality articles, Caratage differences articles Weight differences articles which identified Company internal audit review process.

47.10.7 Collectively assessed allowances

Allowances are assessed collectively for losses on loans and receivables that are not individually assessed. The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as loan types, industry codes, and level of arrears). The AAF applies a three-stage approach to measure expected credit losses (ECLs). Financial assets shift through the following three stages based on the change in credit risk since initial recognition.

47.10.8 Impact Assessment of Stressed Economic Conditions

The Company's Integrated Risk Management Framework aims to proactively manage the impact of unfavourable economic and market conditions while achieving the Company's risk-return objectives. This has been demonstrated by the Company's ability to maintain a lower level of non-performing loans (NPLs) compared to the industry average (LFCs and SLCs). The Company has always acted with due diligence and taken prudent measures to ensure effective and efficient repayment behaviour from credit customers, while also safeguarding the interests of stakeholder.

47 RISK MANAGEMENT (CONT.)

47.10.9 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2025,

	Subject to				
	Carrying amount	Not subject to ECL	Life time ECL - not credit impaired (Stage 2)		Life time ECL - credit impaired (Stage 3)
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	3,150,043,244	3,150,043,244	-	-	-
Other financial assets at amortized cost	2,846,501,028	2,846,501,028	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	31,334,289,469	332,393,832	24,567,340,646	2,523,902,357	3,910,652,634
Provision for Impairment	(2,173,609,993)	-	(68,066,094)	(10,725,818)	(2,094,818,081)
Net interest margin	(3,602,395)	-	-	-	(3,602,395)
Net carrying amount	29,157,077,081	332,393,832	24,499,274,552	2,513,176,539	1,812,232,158

47.10.10 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2024,

	Subject to				
	Carrying amount	Not subject to ECL	Life time ECL - not credit impaired (Stage 2)		Life time ECL - credit impaired (Stage 3)
	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	1,383,706,511	1,383,706,511	-	-	-
Other financial assets at amortized cost	4,259,458,514	4,259,458,514	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	20,564,656,009	336,885,568	14,815,838,529	865,399,276	4,546,532,636
Provision for Impairment	(1,503,545,163)	-	(101,118,102)	(29,914,437)	(1,372,512,624)
Net Interest Margin	(3,376,873)	-	(3,602,395)	-	-
Net carrying amount	19,057,733,973	336,885,568	14,711,118,032	835,484,839	3,174,020,012

47 RISK MANAGEMENT (CONT.)
47.10.11 Analysis of ECL Model under multiple economic scenarios

ECLs must reflect an unbiased and probability weighted estimate of credit losses over the expected life of the financial instrument. The main objective of the probability weighted economic estimates is to convert the historical statistics into more futuristic indicators. Also Primarily Economic factor adjustment is used to convert the Cycle (TTC) PD in to Point in Time (PIT) PDs.

The Company obtains the data from reliable third party sources such as CBSL, International Monetary Fund and/or the World Bank in all instances where such projections are available. The key drivers of expected loss and the assumptions used for the AAF's base case estimate, ECLs based on the base case plus the effect of the use of multiple economic scenarios as at 31 March 2025 and 2024.

Base Scenario

Economic Factor Adjustment (EFA) model of the Company features a decrease in non-performing advances in 2025 and 2026 according to the Base Scenario in line with the improving macroeconomic conditions.

Despite the sharp contraction in economic activities, the measures from Government and the Central Bank of Sri Lanka including tightening the policy interest rates, debt restructuring and measures for funding markets supported the economy and the financial system. Such support ensures economic activities will improve in long term. In addition, the proposed changes to fiscal policies and government finances mark a significant step forward in strengthening the economy and will ease the pressure on budget deficit, interest rates and exchange rates. We expect proposed changes and developments to contribute positively on recovery prospects.

Upside Scenario

Compared with the Base Scenario, the Upside Scenario features a faster recovery in economic activities during the first two years and beyond. These include the timely implementation of proposed changes which will strengthen the overall economy, speedy recovery of all the industries that were affected by the adverse macroeconomic conditions.

Downside Scenario

In the Downside Scenario, economic recovery is considerably weaker compared with the Base Scenario. GDP growth remains weak, unemployment rates stay highly elevated and asset and commodity prices fall before gradually recovering towards their long-run trends.

	2025	2026	2027	2028	2029	2030	2031
Base Scenario	20%	18%	16%	14%	12%	10%	8%
Upside Scenario	10%	13%	16%	19%	22%	25%	28%
Downside Scenario	70%	69%	68%	67%	66%	65%	64%

47.10.11.1 Sensitivity analysis of impairment provisions on loans and advances to customers

As at 31st March ,

	Sensitivity on ECL and sensitivity effect on Financial Position			Sensitivity effect on Income Rs.
	Stage 1	Stage 2	Stage 3	
	Rs.	Rs.	Rs.	
PD 1% increase across all age buckets	521,971	83,885	3,297	609,153
PD 1% decrease across all age buckets	(521,971)	(83,885)	(3,297)	(609,153)
LGD 5% increase	2,609,791	419,426	32,289,971	35,319,188
LGD 5% decrease	(2,609,791)	(419,426)	(32,289,971)	(35,319,188)
Probability weighted economic scenarios				
Base case 10% increase, worst case 5% decrease and best case 5% decrease	100,065	11,468	569,271	680,804
Base case 10% decrease, worst case 5% increase and best case 5% increase	(100,065)	(11,468)	(569,271)	(680,804)

47 RISK MANAGEMENT (CONT.)

47.10.11.2 Sensitivity analysis of Impairment provisions on Loans and advances to customers

As at 31st March ,

	2024			
	Sensitivity on ECL and sensitivity effect on Financial Position			Sensitivity effect on Income Rs.
	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	
PD 1% increase across all age buckets	131,747	82,129	-	213,876
PD 1% decrease across all age buckets	(131,747)	(82,129)	-	(213,876)
LGD 5% increase	348,038	572,371	55,197,824	56,118,233
LGD 5% decrease	(348,038)	(572,371)	(55,197,824)	(56,118,233)
Probability weighted Economic Scenarios				
Base case 10% increase, worst case 5% decrease and best case 5% decrease	129,553	213,422	-	342,975
Base case 10% decrease, worst case 5% increase and best case 5% increase	(129,553)	(213,422)	-	(342,975)

47.11 Collateral and Other Credit Enhancement

The bank holds collateral and other credit enhancements against certain types of its credit exposures. The following table sets out the principal types of collateral held against different types of financial assets. For each loan, the value of disclosed collateral is capped at the amount of the loan it is held against.

Revaluation of immovable properties obtained as collaterals against any accommodation granted are assessed based on the requirements in Direction No 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The assessment of immovable properties is carried out by independent professional valuers as required by the said direction issued by CBSL.

The Company incorporates the effect of collateral in measuring expected credit losses by adjusting the loss given default (LGD) estimates. Collateral includes cash deposits, real estate, vehicles, and guarantees. The recoverable value of collateral is capped at the gross carrying amount of the loan. Collateral is regularly revalued, and only legally enforceable, readily liquidated collateral is considered when reducing ECLs. For unsecured exposures, no collateral value is applied in the ECL computation.

47.11 Collateral and Other Credit Enhancement (Cont.)

Stage 01

47.12 The below tables provide an analysis of the values of collateral held and credit enhancements for Stage 03 assets. The values in the tables represent the expected value on an open market basis. No adjustment has been made to the collateral for any expected costs of recovery.

Stage 03

The Company holds collateral against loans and advances to customers in the form of mortgage interests over property, other registered securities over assets, and guarantees. The fair value of collateral is capped to the carrying amount of the related loan when disclosed for credit risk mitigation purposes.

47 RISK MANAGEMENT (CONT.)

47.13 Concentration of credit risk

AAF manages concentration risk through strategically diversifying the business across industry sectors, products, counterparties and geographies. The Company's Credit Committee defines the limits for these segments and ensures compliance. Further, the Board and RMC monitor these exposures. They also make suggestions and recommendations on modifications to define limits based on the trends and developments shaping the business environment while following Muthoot Group requirements.

Economic crisis and other dynamics in the operating environment has created stress circumstances for certain industries. The company has set prudential limits to avoid undue concentration for such stressed industries.

As at 31st March ,

Sector-wise Breakdown	2025			
	Cash and Cash Equivalents	Financial Assets at Amortised Cost - Loans and Advances	Other Financial Assets	Total Financial Asset
Textile and wearing apparel	-	25,526,566	-	25,526,566
Manufacturing	-	1,818,727,141	-	1,818,727,141
Transport	-	400,791,872	-	400,791,872
Services	3,150,043,244	3,353,719,903	2,846,501,028	9,350,264,175
Agro-business and fisheries	-	11,087,283,044	-	11,087,283,044
Construction	-	1,250,865,309	-	1,250,865,309
Commercial trading	-	1,533,102,820	-	1,533,102,820
Others	-	11,864,272,814	-	11,864,272,814
Total	3,150,043,244	31,334,289,469	2,846,501,028	37,330,833,741

As at 31st March ,

Sector-wise Breakdown	2024			
	Cash and Cash Equivalents	Financial Assets at Amortised Cost - Loans and Advances	Other Financial Assets	Total Financial Asset
Manufacturing	-	979,916,970	-	979,916,970
Transport	-	349,244,233	-	349,244,233
Services	1,383,706,511	1,417,644,444	4,259,458,514	7,060,809,469
Agro-business and fisheries	-	8,139,478,754	-	8,139,478,754
Construction	-	748,919,992	-	748,919,992
Commercial trading	-	1,324,864,733	-	1,324,864,733
Others	-	7,604,586,883	-	7,604,586,883
Total	1,383,706,511	20,564,656,009	4,259,458,514	26,207,821,034

47 RISK MANAGEMENT (CONT.)

47.14 Geographical distribution of loans and advances

Provincial breakdown for loans and advance within Sri Lanka is as follows:

As at 31st March ,

	2025		
	Gold loan	Loans and advances	Total
	Rs.	Rs.	Rs.
Central	4,048,101,036	1,008,692,438	5,056,793,474
Eastern	5,656,646,686	2,076,611,097	7,733,257,783
Northern	4,971,220,921	1,627,112,963	6,598,333,884
North Western	1,210,596,430	1,012,687,372	2,223,283,802
Southern	1,259,297,298	609,335,702	1,868,633,000
Sabaragamuwa	744,767,865	86,144,335	830,912,200
Western	2,156,739,480	3,378,372,050	5,535,111,530
Uva	1,237,141,506	250,822,290	1,487,963,796
	<u>21,284,511,222</u>	<u>10,049,778,247</u>	<u>31,334,289,469</u>

As at 31st March ,

	2024		
	Gold loan	Loans and advances	Total
	Rs.	Rs.	Rs.
Central	3,258,233,313	594,295,559	3,852,528,872
Eastern	3,273,958,701	751,908,280	4,025,866,981
Northern	3,206,092,823	652,268,132	3,858,360,955
North Western	904,910,231	879,638,686	1,784,548,917
Southern	485,198,536	474,292,402	959,490,938
Sabaragamuwa	199,127,223	36,866,746	235,993,969
Western	2,235,831,049	2,749,121,386	4,984,952,435
Uva	758,288,460	104,624,482	862,912,942
	<u>14,321,640,336</u>	<u>6,243,015,673</u>	<u>20,564,656,009</u>

48 ASSESSMENTS RECEIVED BY THE COMPANY

Income tax and VAT assessments received from the Department of Inland Revenue are outstanding as of the reporting date. These assessments have been appealed to Tax Commission and the Commissioner General of Inland Revenue. The Company is confident that these assessments can be successfully defended. As a result, no provisions have been made for these balances.

49 COMPARATIVE INFORMATION

Comparative information is reclassified wherever necessary to conform with the current year's classification in order to provide better presentation.

The presentation and classification of the following comparative figures in the income statement, statement of financial position and statements of cash flows are amended, for better presentation and to be comparable with those of the current year.

As at 31st March,

Income statement

Interest income				
Fees and commission income				
Other operating income				
General and administration expenses				

Statement of financial position

Cash and cash equivalents	
Other financial assets at amortized cost	

Statement of cash flows

Operating activities	
Investing activities	
Financing activities	
Cash and cash equivalents	

Note	After reclassification Rs.	Reclassification adjustment Rs.	Prior to reclassification Rs.
4	5,634,907,959	(47,493,670)	5,682,401,629
7	879,577,589	(29,425,560)	909,003,149
8	59,639,969	47,493,670	12,146,299
	745,051,290	(29,425,560)	774,476,850
17	1,383,706,511	(2,503,986,214)	3,887,692,725
18	4,259,458,514	2,503,986,214	1,755,472,300
	2,506,149,237	(1,413,692,678)	3,919,841,915
	(1,958,262,898)	(1,814,628,473)	-143,634,425
	(1,271,183,156)	1,413,692,678	-2,684,875,834
	1,814,628,473	1,814,628,473	-

50 EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments or disclosure in the financial statements.